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Investor Presentation | Asia Pacific

S. Korea Autos, Batteries, and Energy & Materials

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S. KOREA AUTOS & SHARED MOBILITY	
Asia Pacific	
Industry View	In-Line
S. KOREA ENERGY & MATERIALS	
Asia Pacific	
Industry View	In-Line

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Executive Summary – S. Korea Autos

- **HMC (OW, PT W520,000)** – The recent market correction has brought valuation back to more reasonable levels. With HMC at the forefront of the physical AI narrative in Korea, we expect this optionality to provide valuation support as underlying fundamentals begin to bottom out.
- **Kia (OW, PT W180,000)** – Kia has attracted less investor excitement around physical AI despite its own exposure to the theme. Meanwhile, underlying fundamentals remain healthy, and the stock appears attractively valued at 5.7x 2027e P/E.
- **Hyundai MOBIS (OW, PT W580,000)** – Despite a slower-than-expected rebound in the module business, its A/S business continues to cushion earnings/margin downside. In robotics, MOBIS has emerged as one of Korea's leading suppliers, and we expect it to maintain its valuation premium.
- **Hankook Tire (OW, PT W93,000)** – Despite the market's initial concerns that input cost headwinds would weigh on HT's 2H26 profitability outlook, we expect a series of price hikes to offset the cost pressure and sustain healthy tire margins. Moreover, the company's commitment to higher shareholder returns should support further re-rating of its shares.
- **Mando (EW, PT W59,000)** – Despite growing expectations for the company's entry into the robotics business, we believe further re-rating will likely require greater clarity on order momentum, which appears less likely to emerge in the near term. At 9.8x 2027e P/E vs. 7.7% ROE, we view risk/reward as balanced.
- **Hanon Systems (UW, PT W3,000)** – Despite solid operational execution, we remain cautious on Hanon, due to 1) its limited top-line growth outlook, and 2) its elevated valuation of 15.0x 2027e P/E, well above that of domestic peers.

Executive Summary – S. Korea Batteries & Battery Materials

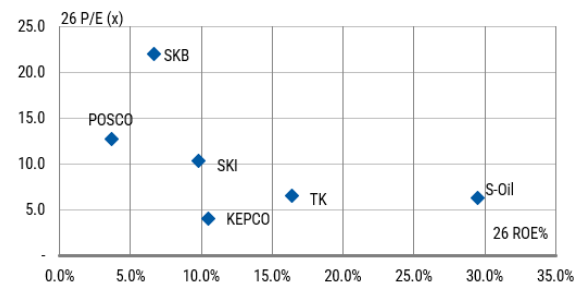
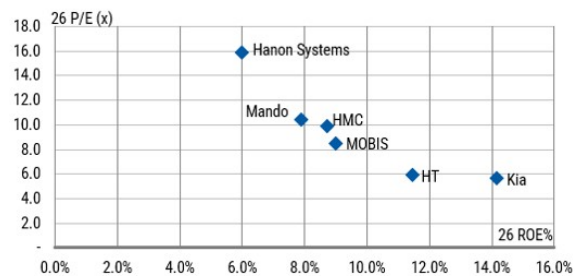
- **Samsung SDI (OW, PT W660,000)** – With ESS increasingly viewed as an AI enabler rather than a backup power solution, we believe SDI is well positioned to benefit from the AI theme. We continue to favor Samsung SDI as our preferred battery play, given its 1) higher exposure to the fast-growing BBU/UPS segments, and 2) superior cost control.
- **LG Energy Solution (EW, PT W400,000)** – Despite its improving earnings outlook, supported by a bottoming EV business and robust growth of its ESS businesses, the stock has significantly underperformed KOSPI YTD. In addition to a more gradual turnaround outlook, we think the share overhang may continue to cap upside potential.
- **L&F (OW, PT W120,000)** – Resilient high-nickel volumes and the earliest LFP commercialization among Korean peers continue to provide the clearest near-term earnings and volume visibility. Despite the recent rally, relative EV/EBITDA valuation remains supportive vs peers, while further upside will likely depend on successful LFP execution and additional customer wins.
- **POSCO Future M (UW, PT W96,000)** – The recent LFP supply agreement partially addresses customer-commitment risk, but meaningful earnings contribution is unlikely before 2028, while capex and funding needs remain elevated. We await clearer evidence of volume ramp-up, and balance sheet improvement before turning more constructive.
- **EcoPro BM (UW, PT W75,000)** – European localization and upstream nickel integration should strengthen the company's long-term positioning in high-nickel batteries. However, weak end-customer demand and low utilization rates continue to cloud the near-term recovery outlook. Elevated funding needs and uncertain returns on new investments should limit re-rating potential.

Executive Summary – S. Korea Energy & Materials / Utilities / Fittings

- **S-Oil (OW, PT W190,000)** – The refining upcycle has more room to run, in our view. With tight supply likely to keep refining margins higher for longer and policy upside yet to be priced in, we see scope for further earnings upgrades ahead.
- **SK Innovation (OW, PT W150,000)** – Stronger-for-longer refining margins, supported by resilient demand and tighter product supply, coupled with healthy lubricant margins, should support further re-rating. At the same time, much of the EV-related concern appears to be priced in.
- **LG Chem (EW, PT W300,000)** – We question the sustainability of petchem margins as the Middle East tensions ease. Moreover, cathode margin recovery remains gradual, with limited support from ESS optionality.
- **POSCO (EW, PT W370,000)** – At 0.43x 2027e P/B, we see valuation support. However, a more meaningful re-rating would likely require a clearer recovery in steel earnings and margin prospects, where we remain more cautious than the market.
- **Lotte Chemical (UW, PT W53,000)** – Despite Lotte Chem's willingness to restructure its petchem business, slower-than-expected progress in domestic industry restructuring, coupled with competitors' brand new capacity additions, points to a deteriorating domestic supply/demand outlook into year-end and a weaker profitability outlook.
- **KEPCO (UW, PT W29,000)** – After three years of earnings growth and margin expansion, we expect that trend to reverse. KEPCO faces higher input costs, while we see low likelihood of tariff increases. As a result, we expect its annual earnings to decline in 2027.
- **Sung Kwang Bend (OW, PT W37,000)** – While we expect SKB to remain a key beneficiary of the US LNG investment cycle, we anticipate a more moderate earnings growth trajectory going forward. Following the YTD share price correction, we believe risk/reward is skewed to the upside.
- **TK (EW, PT W26,000)** – While robust US LNG demand remains supportive, the prolonged order gap in the Middle East, TK's core market, continues to weigh on the outlook. Until we see clear signs of an order recovery translating into higher volumes, we view risk/reward as balanced at current levels.

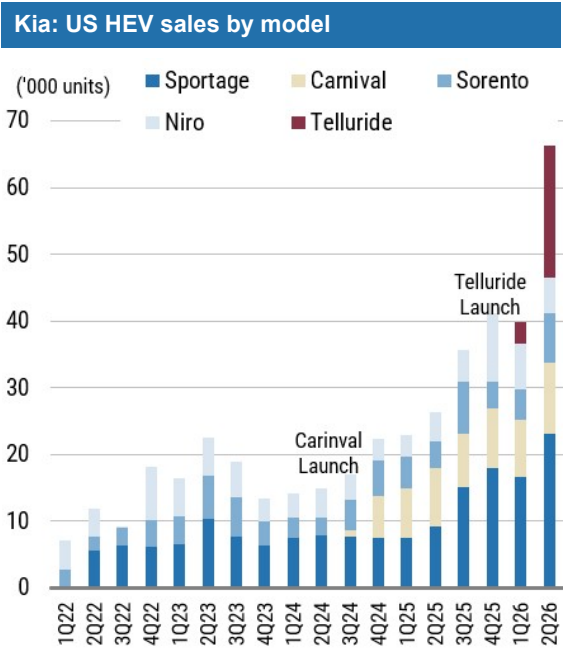
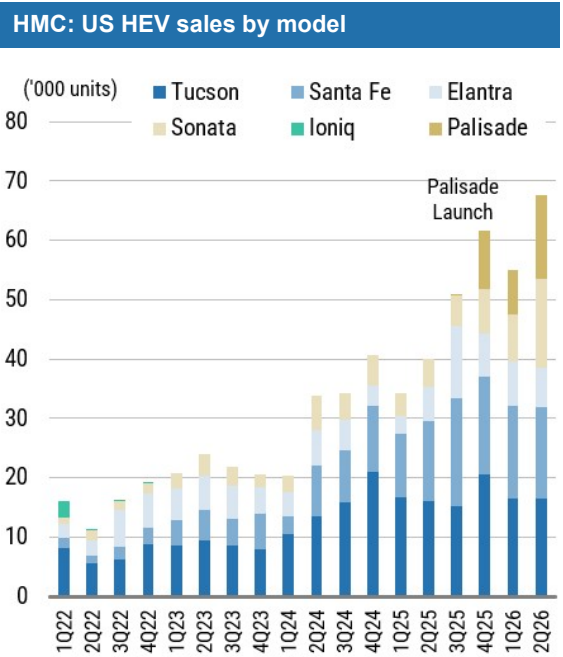
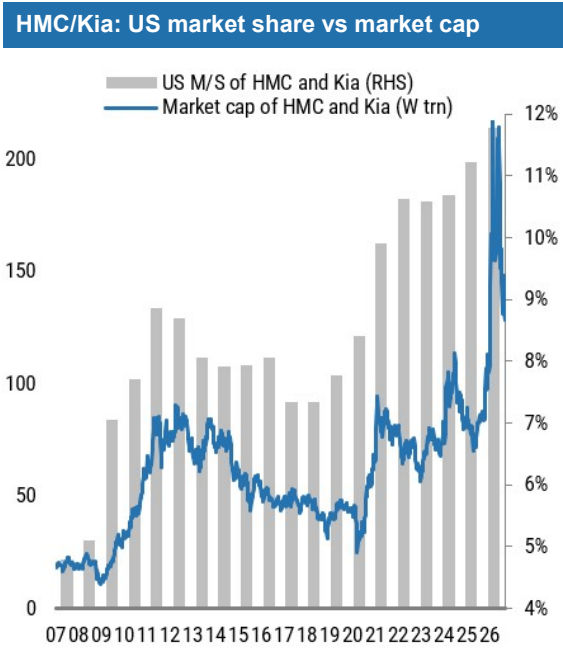
S. Korea Autos/Energy & Materials Coverage

Ticker	Company	Rating	PT (KRW)	CP (KRW)	P/E (x)		EV/EBITDA (x)		P/B (x)		ROE (%)		Dividend Yield (%)	
					2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
S. Korea Autos & Shared Mobility														
005380.KS	HMC	Overweight	520,000	383,500	9.9	9.1	7.3	7.2	0.82	0.76	9%	9%	3.1%	2.7%
000270.KS	Kia	Overweight	180,000	127,400	5.6	5.7	0.0	-0.1	0.73	0.67	14%	13%	5.1%	5.3%
012330.KS	Hyundai MOBIS	Overweight	580,000	423,500	8.4	7.3	1.9	1.3	0.71	0.65	9%	10%	1.6%	1.9%
161390.KS	Hankook Tire	Overweight	93,000	66,500	5.9	5.5	3.9	3.5	0.63	0.58	11%	11%	4.0%	5.4%
204320.KS	Mando	Equal-Weight	59,000	47,650	10.4	9.8	4.4	4.4	0.77	0.73	8%	8%	1.6%	1.9%
018880.KS	Hanon Systems	Underweight	3,000	3,495	15.9	15.0	4.7	4.2	0.90	0.85	6%	6%	0.0%	0.0%
S. Korea Energy & Materials														
010950.KS	S-Oil	Overweight	190,000	147,900	6.4	9.5	4.1	5.7	1.45	1.31	29%	15%	0.2%	3.1%
096770.KS	SK Innovation	Overweight	150,000	130,800	10.4	17.8	4.1	6.3	0.92	0.88	10%	5%	0.0%	0.0%
006400.KS	Samsung SDI	Overweight	660,000	539,000	113.1	55.4	16.5	12.3	1.99	1.92	2%	4%	0.0%	0.0%
066970.KS	L&F	Overweight	120,000	120,900	NM	51.9	19.0	17.8	5.75	5.18	-6%	11%	0.0%	0.0%
373220.KS	LG Energy Solution	Equal-Weight	400,000	365,500	NM	65.1	24.0	15.3	4.48	4.19	-6%	7%	0.0%	0.0%
051910.KS	LG Chem	Equal-Weight	300,000	287,000	NM	41.7	6.9	5.3	0.61	0.60	-1%	1%	0.0%	0.0%
005490.KS	POSCO	Equal-Weight	370,000	342,000	12.8	11.7	5.6	5.2	0.45	0.44	4%	4%	2.9%	3.3%
003670.KS	POSCO Future M	Underweight	96,000	183,800	417.9	316.1	58.2	45.6	3.98	3.93	1%	1%	0.0%	0.0%
247540.KQ	EcoProBM	Underweight	75,000	106,500	4,953.4	322.7	66.7	39.6	6.02	5.94	0%	2%	0.0%	0.1%
011170.KS	Lotte Chemical	Underweight	53,000	61,000	NM	NM	9.6	7.9	0.21	0.21	-2%	-2%	1.6%	0.0%
015760.KS	KEPCO	Underweight	29,000	32,450	4.0	5.7	5.2	5.5	0.39	0.37	11%	7%	4.8%	2.9%
014620.KQ	Sung Kwang Bend	Overweight	37,000	30,400	22.0	18.4	14.1	11.2	1.40	1.32	7%	8%	1.3%	1.4%
023160.KQ	TK Corp	Equal-Weight	26,000	25,800	6.5	15.6	10.8	8.7	0.96	0.95	16%	6%	2.1%	5.4%



Source: Refinitiv, Morgan Stanley Research (E) estimates. Note: Closing prices as of Sep 3, 2026.

Autos: Share Gains In The US By Leveraging HEV Strengths



Source: Motor Intelligence, company data, WiseFN, Morgan Stanley Research.

Autos: Consumers' Continued Preference For HEVs

HMC: Models with HEV sales by major region

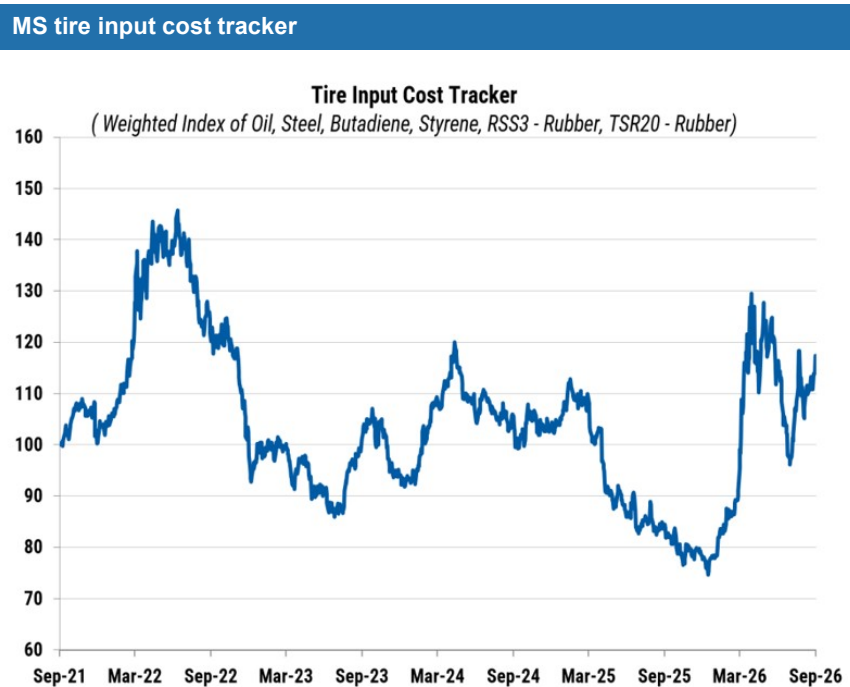
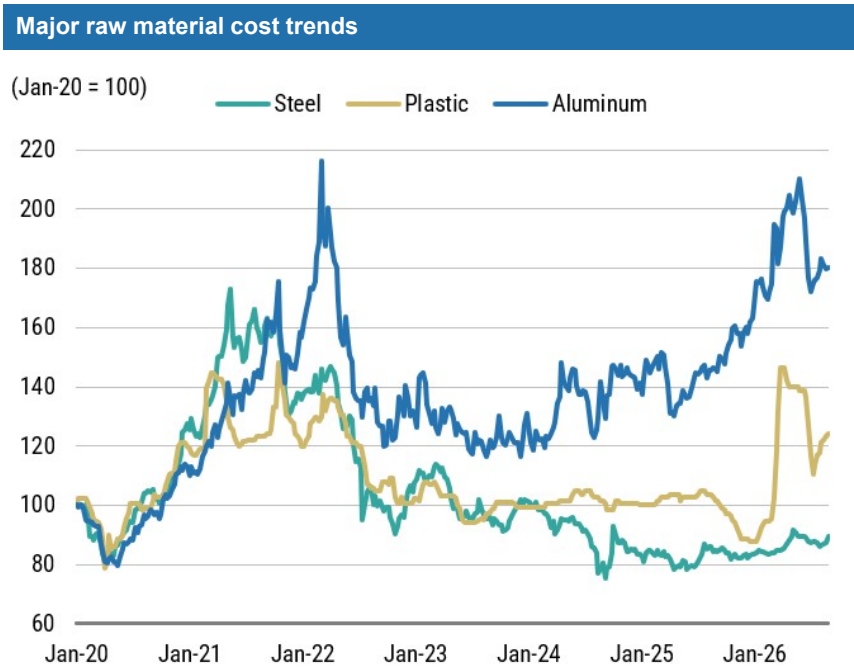
2025 Full Year					1H26				
Retail Sales ('000)	Total	non-HEV	HEV	HEV%	Retail Sales ('000)	Total	non-HEV	HEV	HEV%
Korea					Korea				
Santa-Fe	58	15	43	74%	Santa-Fe	21	4	16	79%
Palisade	61	23	38	63%	Palisade	20	6	14	71%
Grandeur	72	33	39	55%	Grandeur	38	20	18	47%
Tucson	54	29	25	46%	Tucson	20	11	10	47%
Avante	79	65	15	19%	Avante	29	24	5	17%
Sonata	52	43	9	18%	Sonata	30	25	5	16%
Kona	33	24	8	26%	Kona	18	14	4	21%
Staria	37	27	10	27%	Staria	15	6	9	63%
GV80	32		2H26		GV80	12		2H26	
G80	41		2H26		G80	17		2H26	
Europe					Europe				
Tucson	119	64	55	47%	Tucson	69	36	33	48%
Kona	81	45	37	45%	Kona	44	21	22	51%
SantaFe	11	6	5	44%	SantaFe	7	3	4	54%
Staria	3		3	100%	Staria	1		1	100%
US					US				
Tucson	217	149	68	31%	Tucson	116	82	34	29%
SantaFe	140	82	58	41%	SantaFe	67	35	32	48%
Elantra	149	121	28	19%	Elantra	79	65	14	18%
Sonata	60	39	21	34%	Sonata	35	14	21	60%
Palisade	124	115	9	8%	Palisade	64	41	23	36%
GV80	24	24	2H26		GV80	11	11	2H26	
Total	1350	879	471	35%	Total	672	407	265	39%

Kia: Models with HEV sales by major region

2025 Full Year					1H26				
Retail Sales ('000)	Total	non-HEV	HEV	HEV%	Retail Sales ('000)	Total	non-HEV	HEV	HEV%
Korea					Korea				
Sorento	100	30	70	70%	Sorento	55	10	46	82%
Carnival	78	32	46	59%	Carnival	30	5	25	84%
Sportage	75	47	28	38%	Sportage	31	21	10	33%
K8	28	11	17	62%	K8	11	4	7	64%
Niro	14	0.3	13	98%	Niro	8		8	100%
K5	37	28	8	22%	K5	16	12	3	21%
Seltos	56	56	1Q26		Seltos	24	18	6	25%
W. Europe					W. Europe				
Sportage	149	91	59	39%	Sportage	85	44	42	49%
Sorento	12	9	3	24%	Sorento	5	3	1	29%
Niro	46	13	33	72%	Niro	20	4	16	81%
Seltos			3Q26		Seltos			3Q26	
K4			4Q26		K4	7	7	4Q26	
US					US				
Sportage	183	133	50	27%	Sportage	95	55	40	42%
Carnival	72	39	33	46%	Carnival	40	21	19	48%
Sorento	95	78	17	18%	Sorento	49	37	12	24%
Niro	31	9	23	72%	Niro	14	2	12	86%
Telluride	123		1Q26		Telluride	74	50	23	32%
Seltos	57		3Q26		Seltos	33	33	3Q26	
Total	919	519	400	44%	Total	558	286	271	49%

Source: Company data, Morgan Stanley Research.

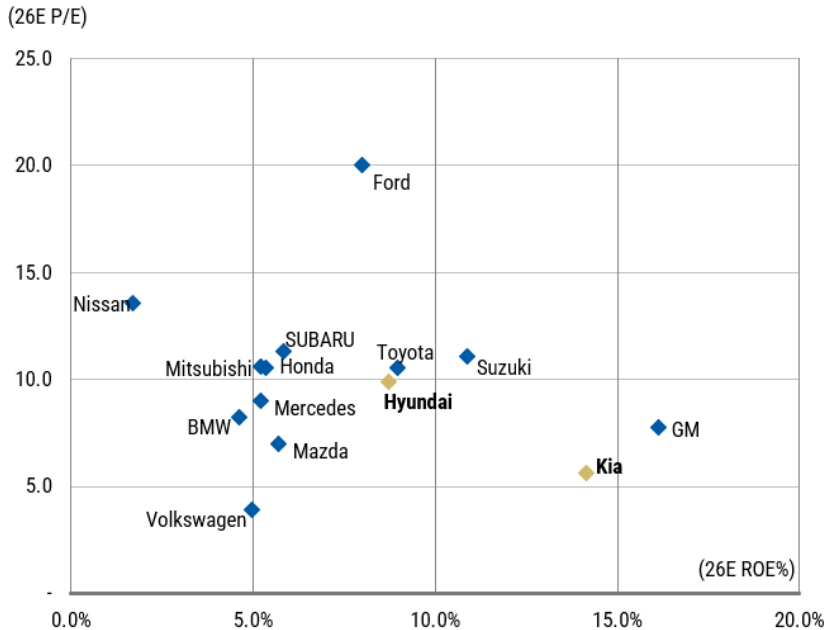
Autos: Input Cost Trends



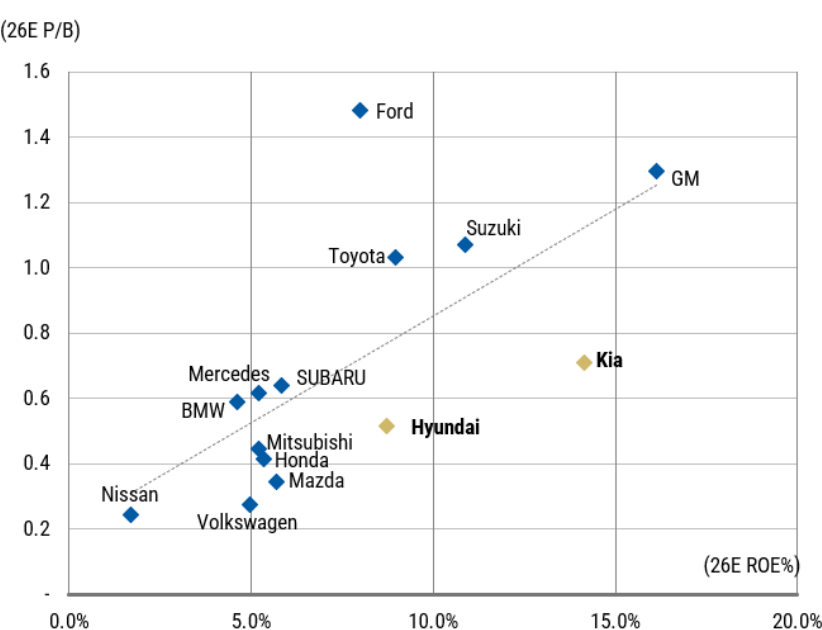
Source: Bloomberg, Refinitiv, Morgan Stanley Research estimates.

Autos: Global Peer Valuations

Global autos: 2026e P/E vs ROE

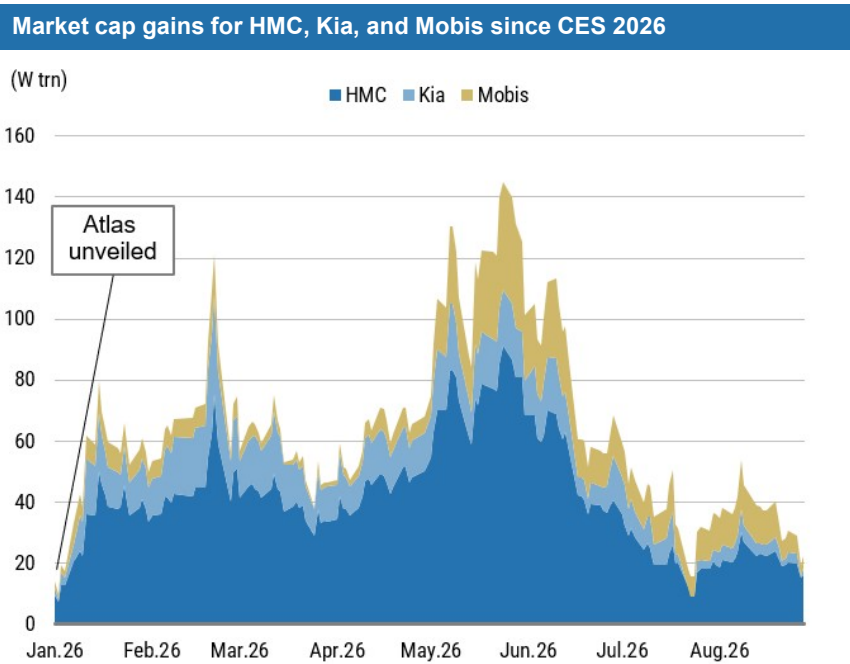
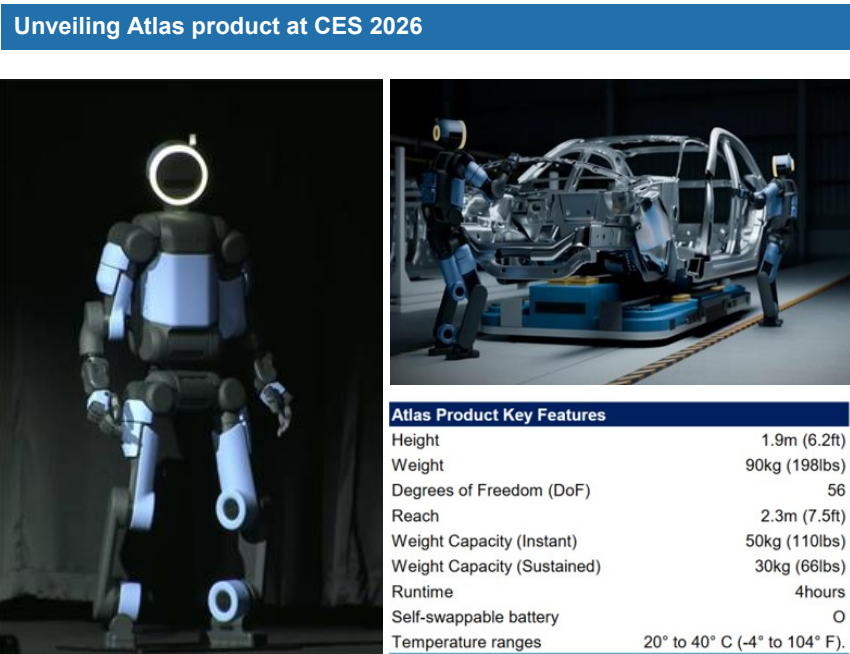


Global autos: 2026e P/B vs ROE



Source: Morgan Stanley Research (e) estimates.

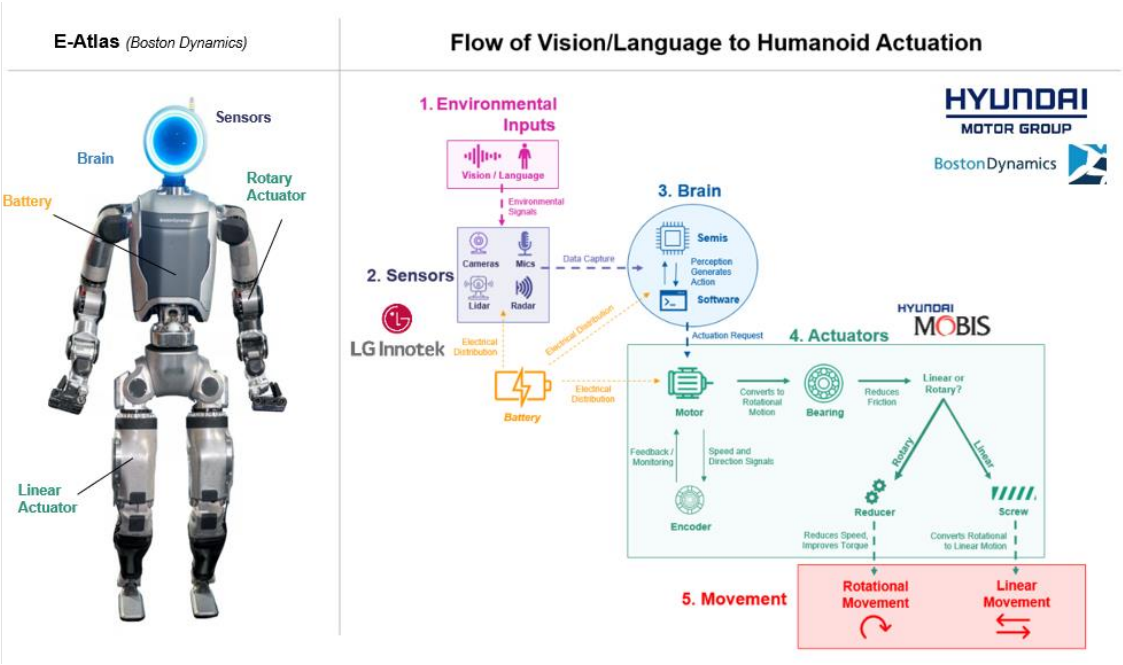
Robotics: Unveiling Atlas



Source: Company data, Morgan Stanley Research.

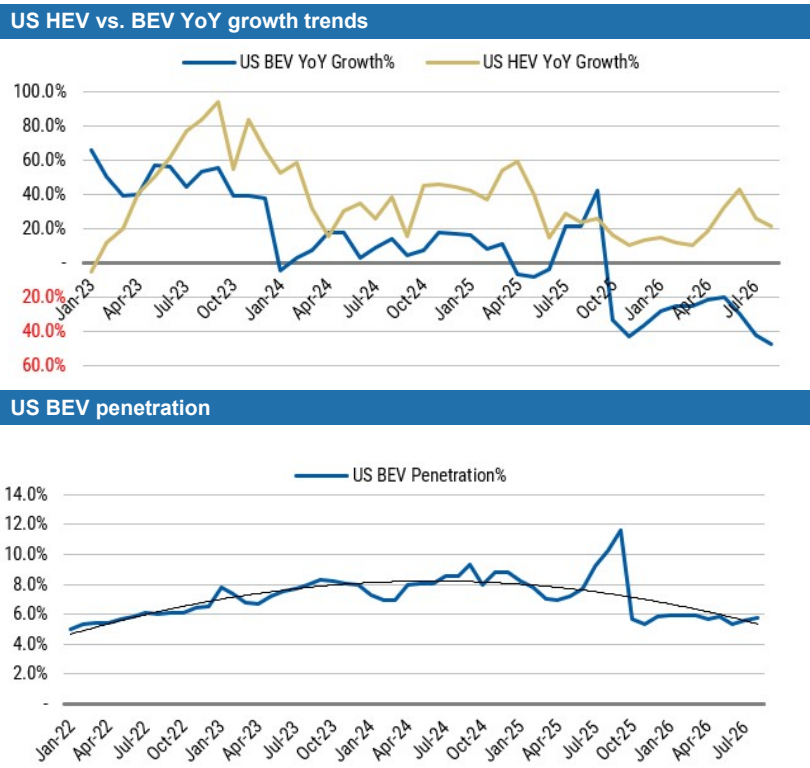
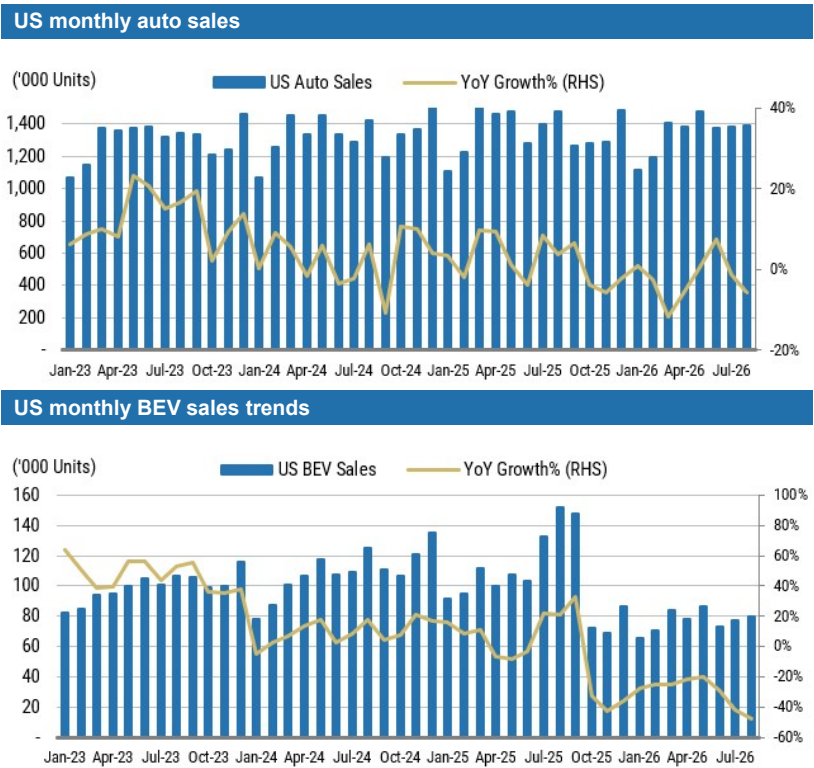
Robotics: Collaborating Across Each Layer Of The Humanoid Value Chain

Series of partnerships span the full robotics stack from software to hardware



Source: Morgan Stanley Research.

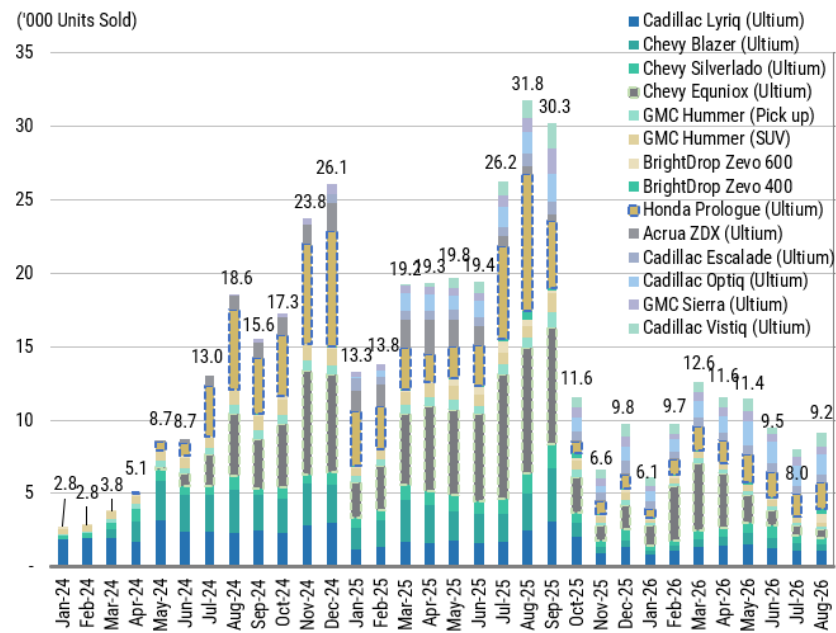
US EVs: US EV Sales Trends



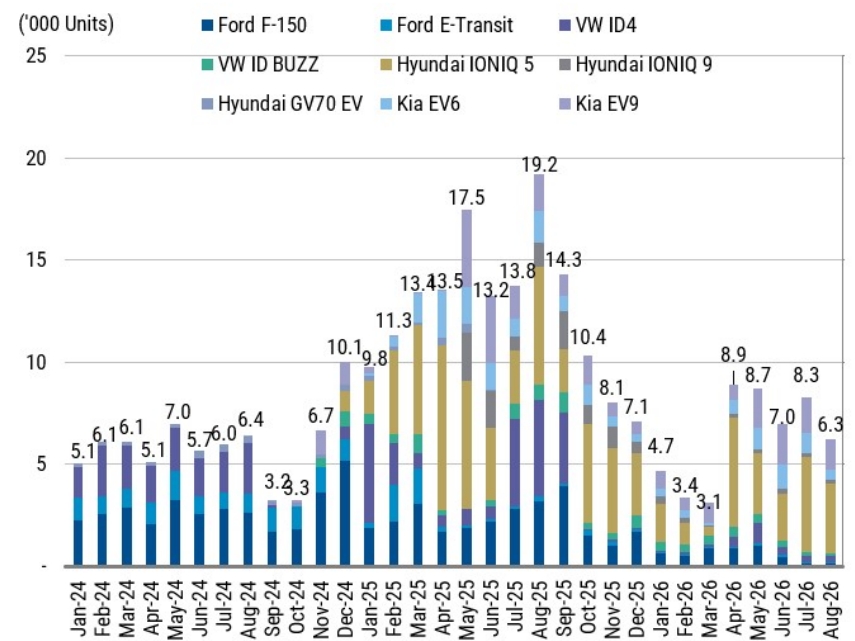
Source: Motor Intelligence, Morgan Stanley Research.

US EV Batteries: Monthly EV Sales Trend For Key Customers

LG Energy Solution – GM EV retail sales + Honda Prologue/Acura ZDX

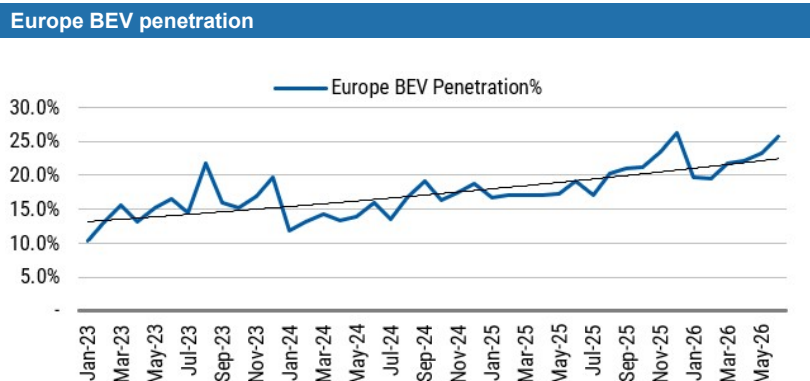
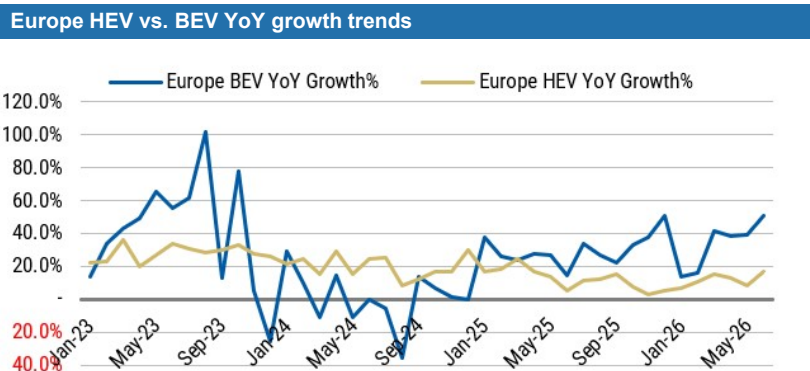
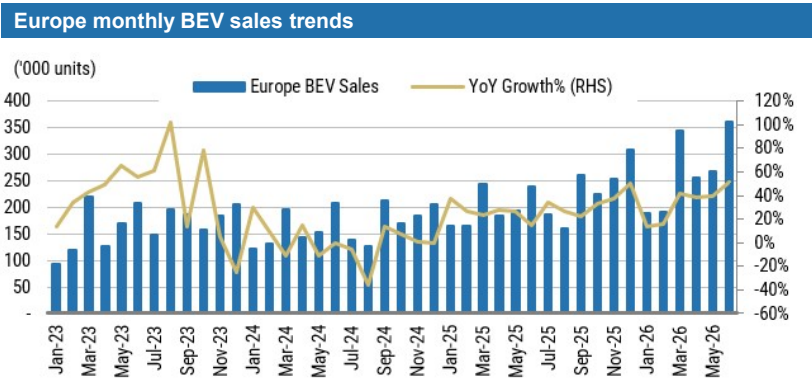
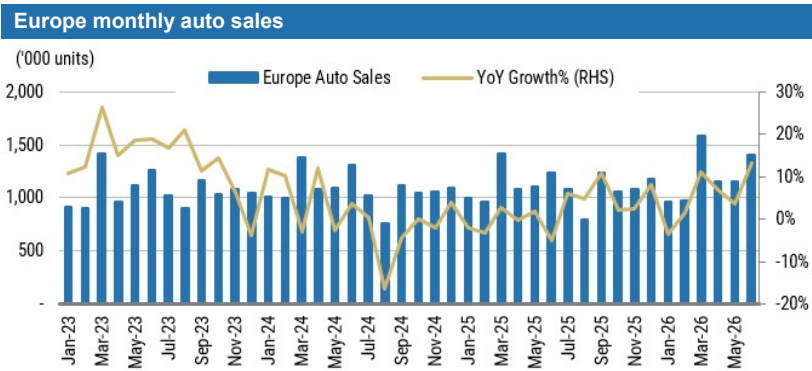


SK On – Ford, Volkswagen, and HMG EV sales



Source: Motor Intelligence, Company data, Morgan Stanley Research. Note: US production data overlaid for Hyundai and Kia in SK On.

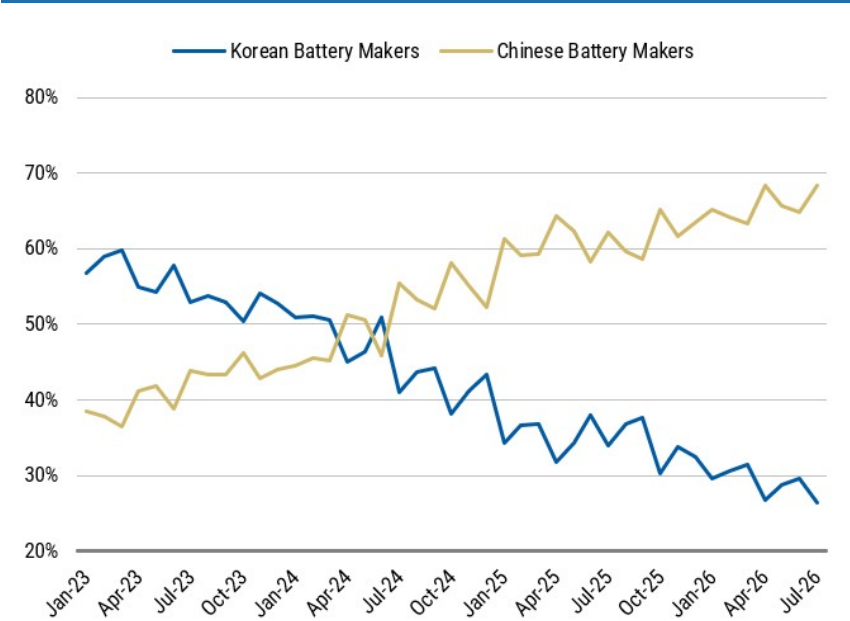
EU EVs: EU EV Sales Trends



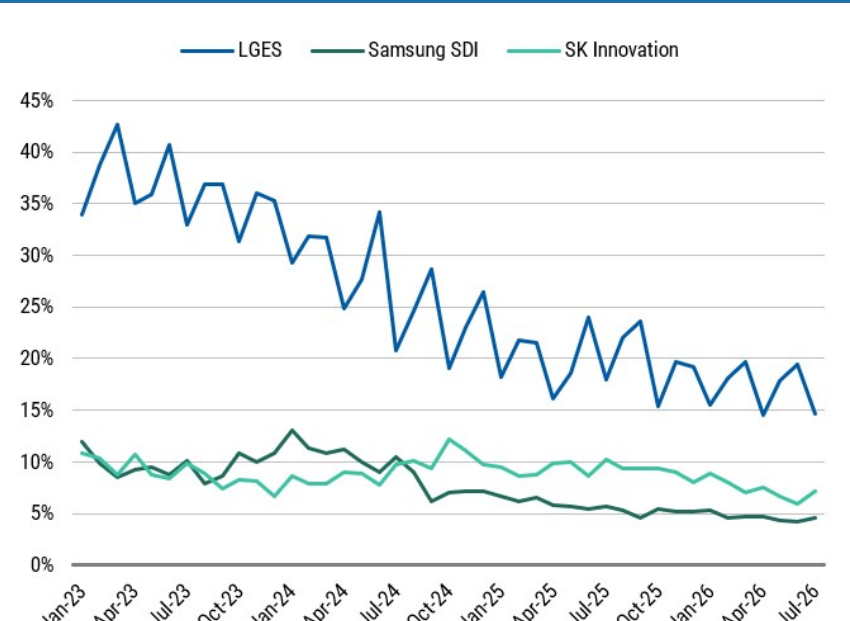
Source: ACEA, Morgan Stanley Research.

EU EV Batteries: Market Share Trends

Korean battery makers vs. Chinese battery makers



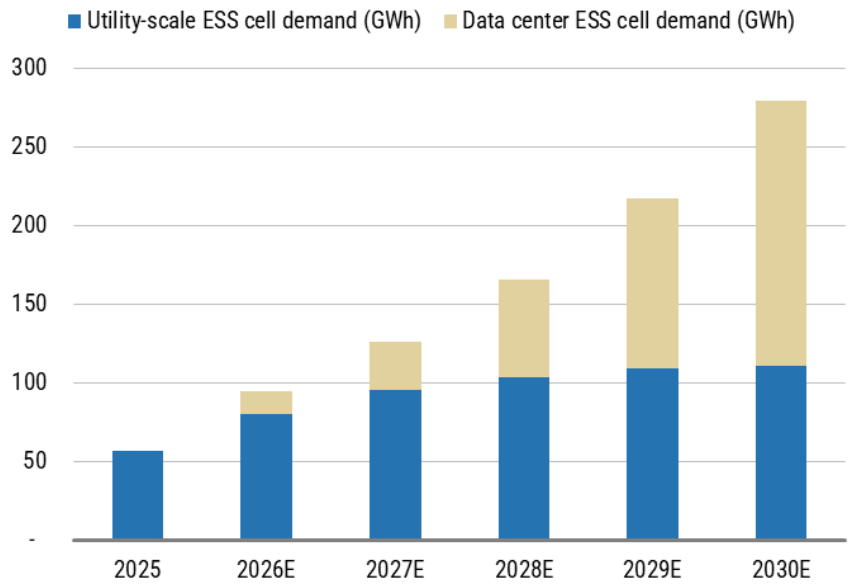
Korean battery makers details



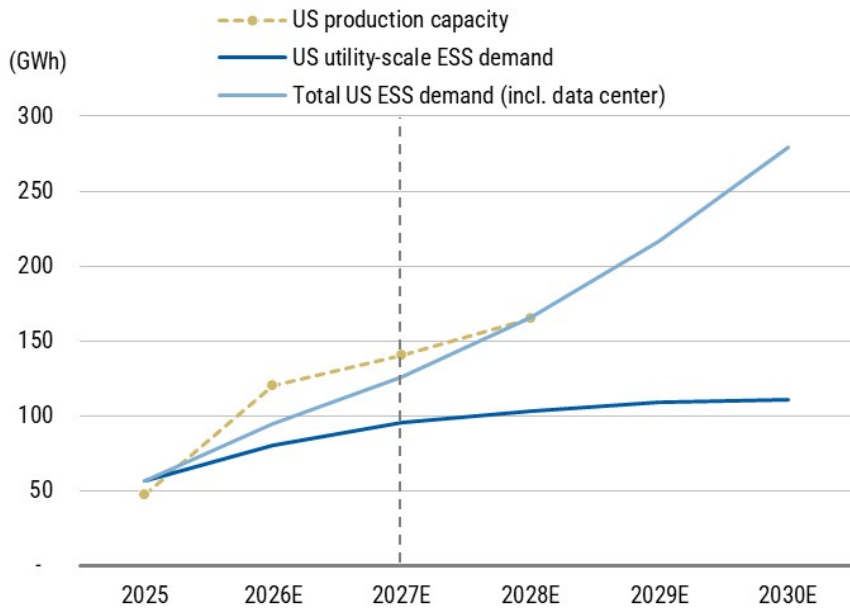
Source: SNE, Morgan Stanley Research.

US ESS Batteries: Beneficiary Of The AI Theme

US ESS cell demand increasing from ~57GWh in 2025 to 279GWh in 2030



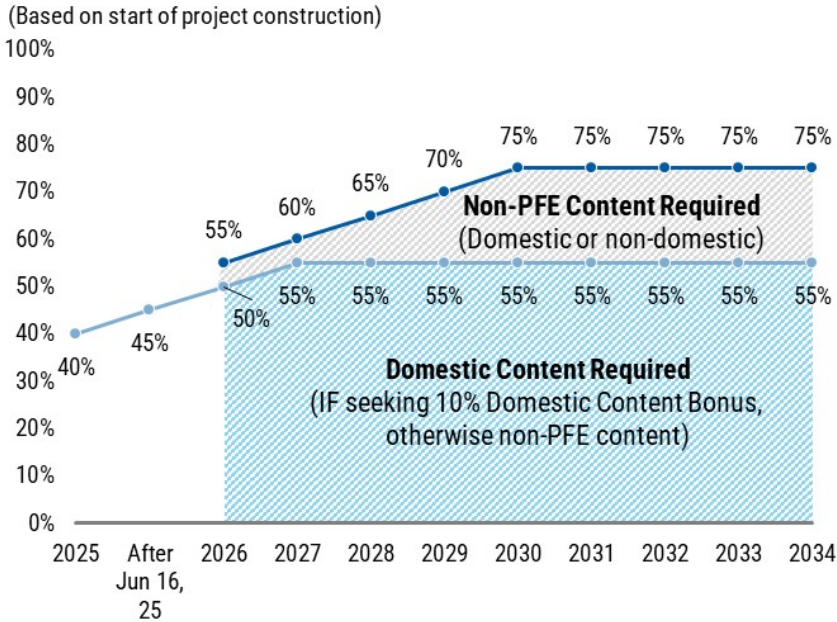
US ESS cell supply-demand balance



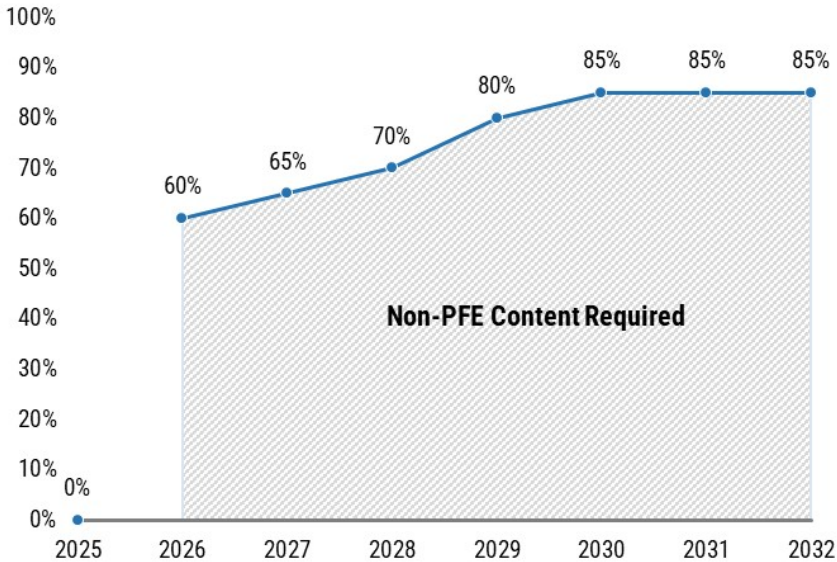
Source: Morgan Stanley Research (E) estimates.

US ESS Batteries: Government Policy Also Bodes Well

ITC security with limited Chinese competition and domestic content incentives



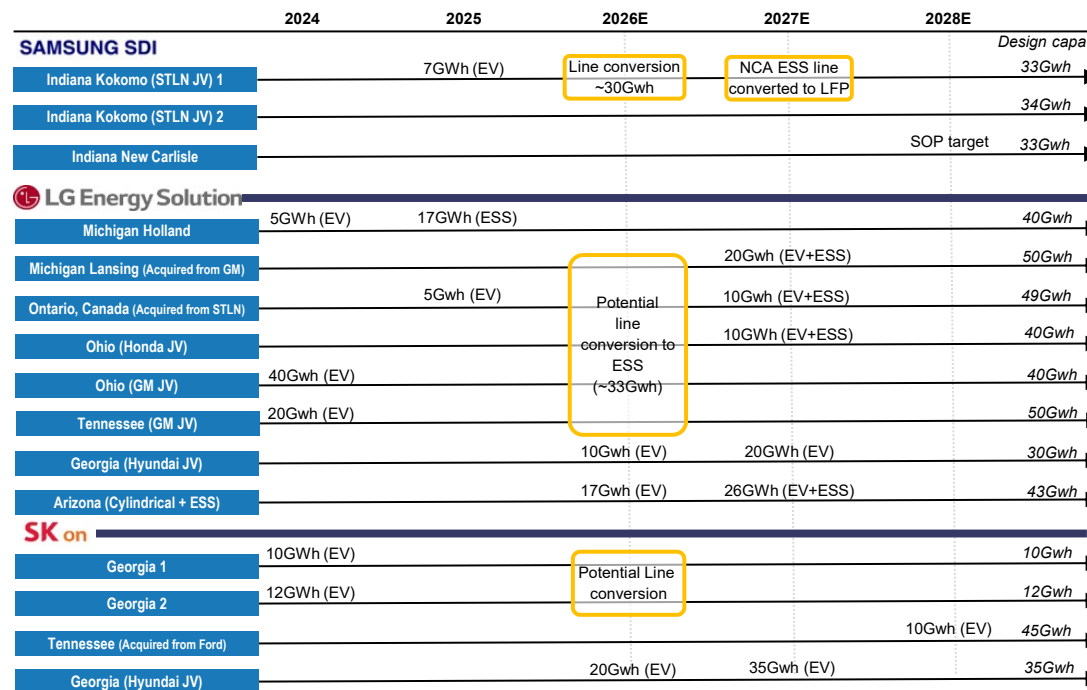
Amount of Non-FEOC content required for Section 45X credit



Source: OBBBA Guidance, Morgan Stanley Research.

US ESS Batteries: Converting Idle US EV Production Lines

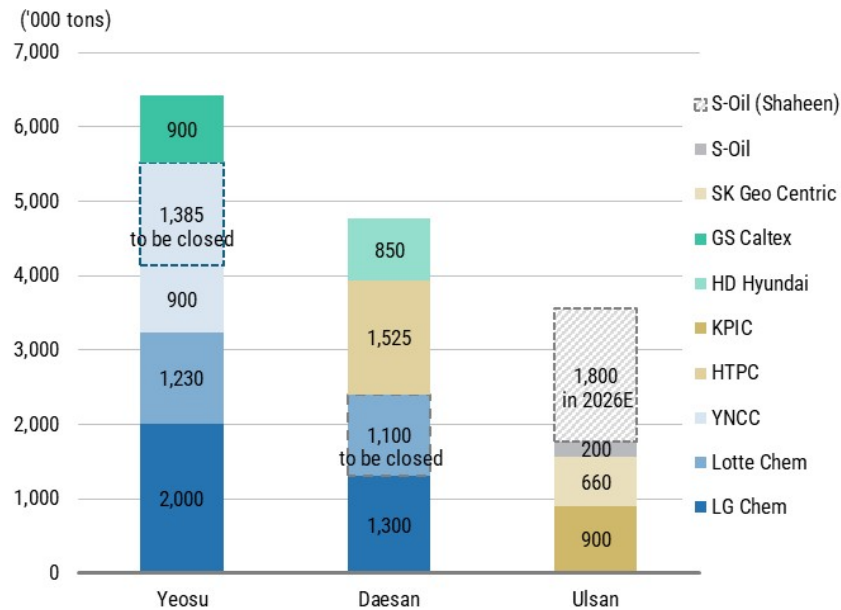
Korean battery makers shift idle EV capacity to ESS to improve utilization



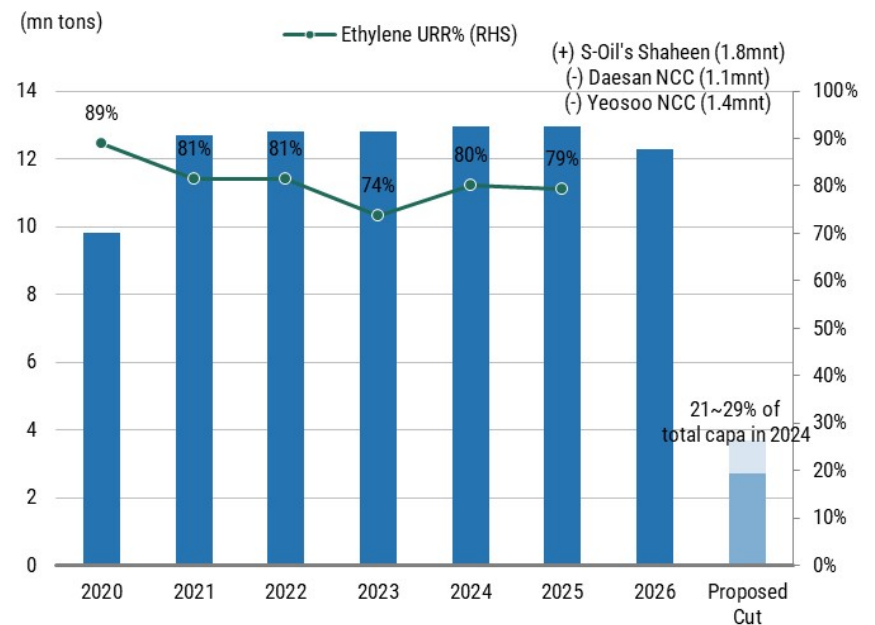
Source: Morgan Stanley Research.

Energy & Materials: Korea's Petchem Restructuring Framework

Ethylene capacity by key petchem complexes



Ethylene capacity expansion plan and proposed cuts



Source: KCIA, MOTIE, Morgan Stanley Research (e) estimates.

Energy & Materials: Korea's Petchem Restructuring Framework

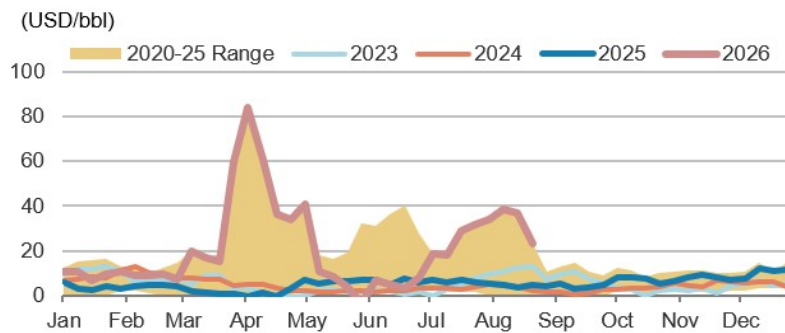
Korea petchem restructuring: confirmed and proposed actions at a glance

Complex	Company	Proposed cut (mnt)	Proposal details
Daesan (Confirmed)	Lotte Chem – HD Hyundai Chem	1.1	Lotte Chem announced its plans to carve out its Daesan site and merge it with HD Hyundai Chem as part of Korea's petchem restructuring plan. As per Lotte Chem, post-merger ownership of HD Hyundai Chem will shift to a 50:50 split with HD Hyundai Oilbank (from HD 60: LC 40). The merged entity will operate two NCCs (1.1mnt and 850kt), with one unit potentially slated for a shutdown of over three years.
Yeosoo (Confirmed)	YNCC – Lotte Chem	1.385	YNCC announced its plan to close Plant 2 (915kt) and Plant 3 (475kt). Subsequently, Yeochun NCC has reportedly been discussing the potential establishment of a JV with Lotte Chemical's Yeosu operations, with Hanwha, DL and Lotte Chemical each potentially holding a 33% stake, per press (HankYung 9 Mar, 2026). None of the companies has commented.
Yeosoo (Potential)	LG Chem – GS Caltex	1.2	LG Chem is reportedly reviewing the potential closure of its aging plant 1 (1.2mnt), and GS Caltex could participate in the restructuring through a JV arrangement, per press (HankYung 22 Dec, 2025). The companies have not commented.
Ulsan (Potential)	SK Geo Centric	0.66	SK Geocentric is reportedly considering the closure of its NCC plant (660kt). Instead, S-Oil and KPIC would supply ethylene to SK Geo Centric's polymer plants, per press (Seoul Econ 19 Dec, 2025). The companies have not commented.
Daesan (Potential)	LG Chem		Partial capacity adjustments at currently operating NCCs are being considered, though the scale is likely to be limited, per press (Seoul Econ 19 Dec, 2025). No company comment.
Daesan (Potential)	HTP Chem		Partial capacity adjustments at operating NCCs are being considered, though the scale is likely to be limited, per press (Seoul Econ 19 Dec, 2025). No company comment.
Total proposed cut		4.3	
Shaheen added (2026E)		1.8	
Government target		2.7~3.7	

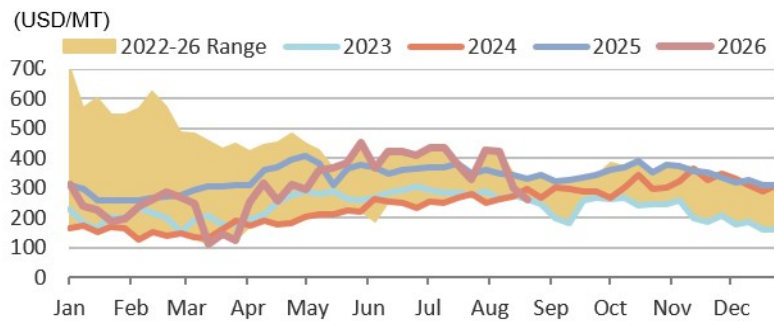
Source: Company data, HankYung and Seoul Econ, Morgan Stanley Research.

Energy & Materials: Refining Margins vs. Petchem Spreads

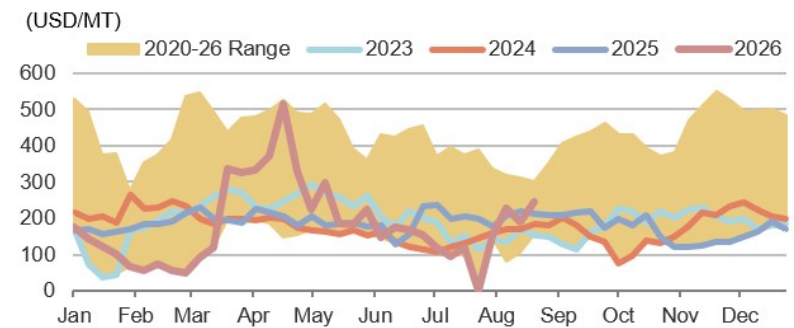
S-Oil weighted refining margins



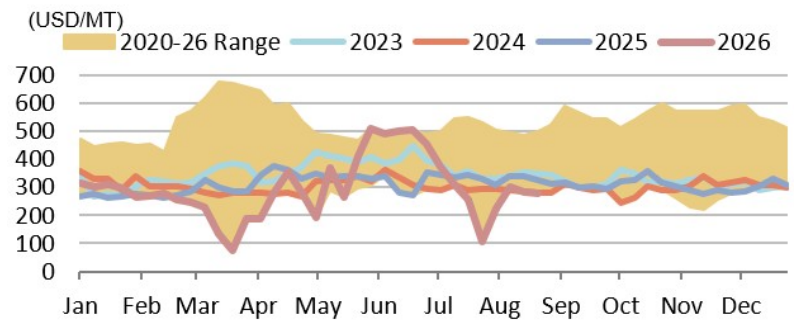
ABS spreads



Ethylene spreads



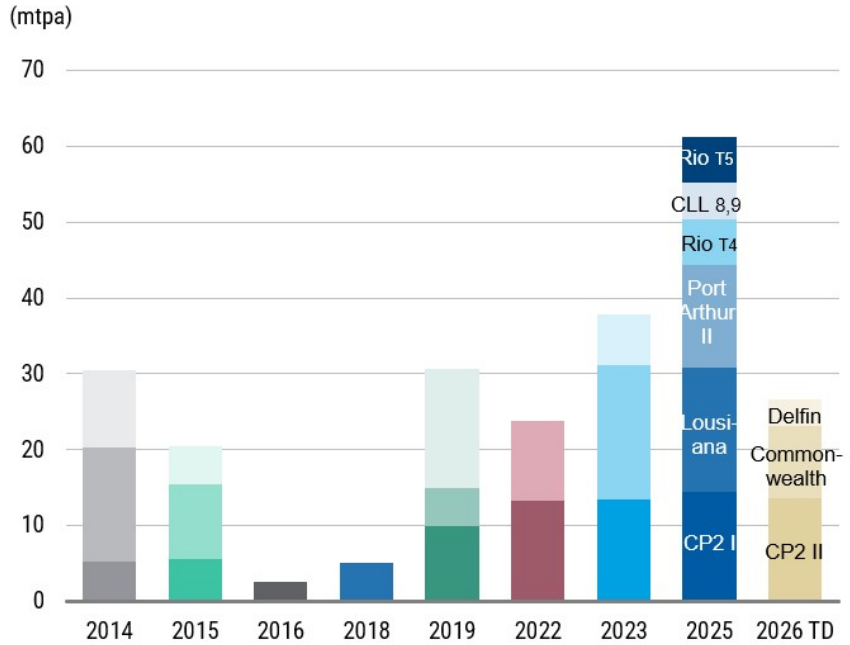
PE spreads



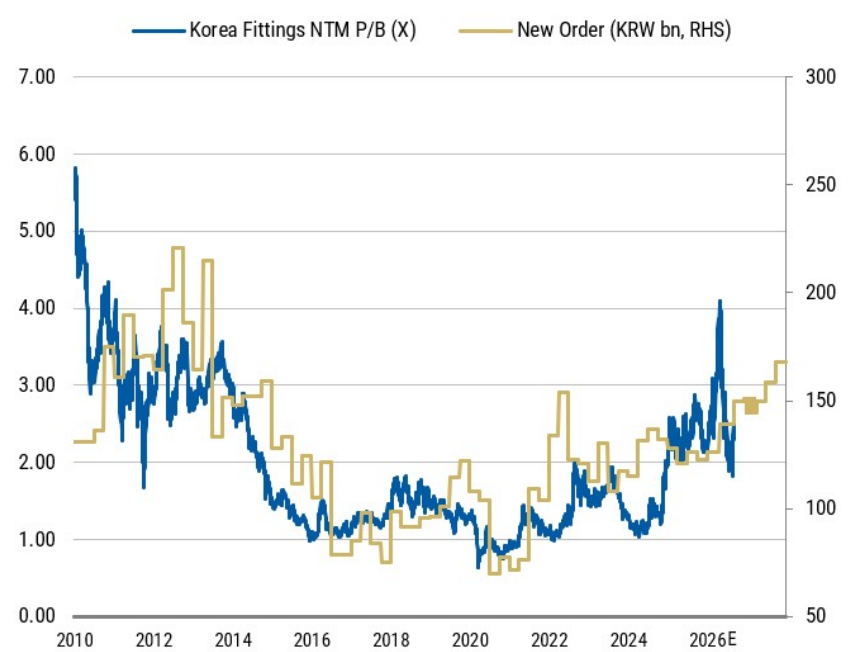
Source: Company data, Morgan Stanley Research.

Korea Fittings: Riding The US Energy Investment Wave

US LNG: 2025 marked a record year for US LNG projects FIDs



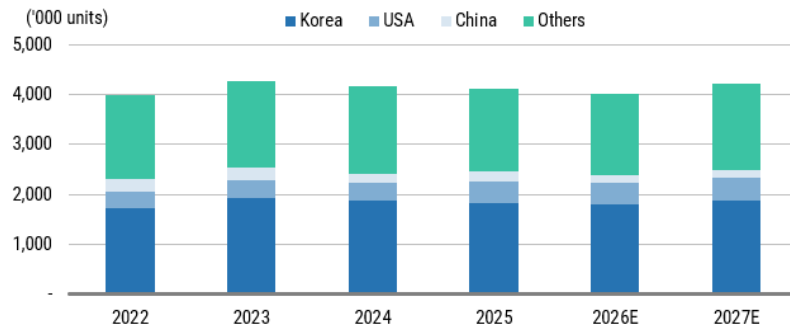
SKB and TK are likely to benefit from the LNG capacity expansion cycle



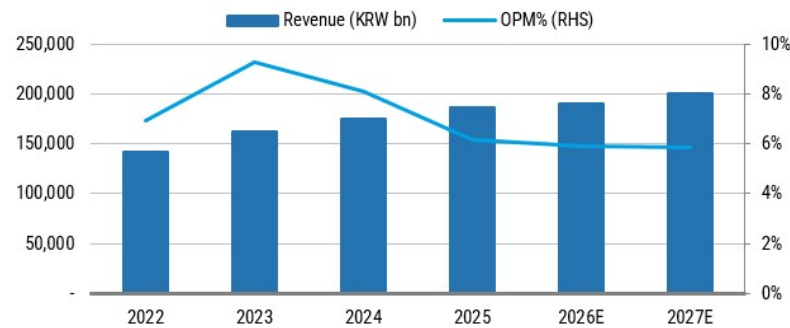
Source: EIA, company data, S&P Global Commodity Insights, USITC, Morgan Stanley Research (E) estimates .

Hyundai Motor (005380.KS, OW, PT W520,000)

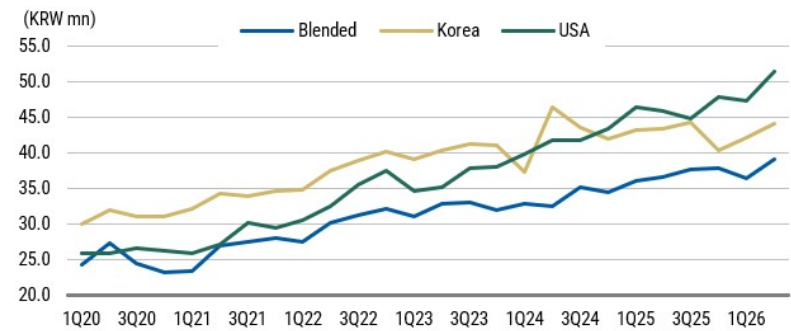
Production volumes by region



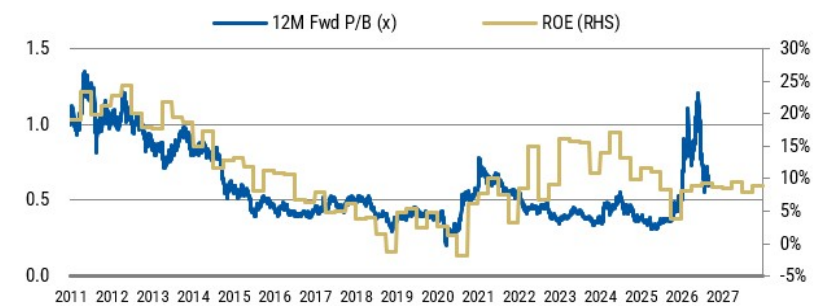
Revenue vs. OPM



ASP trends by region



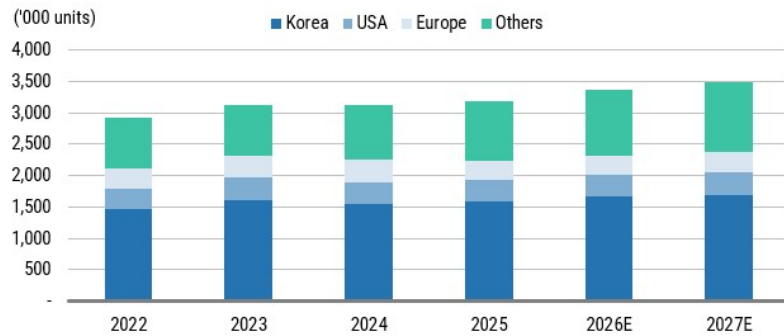
P/B vs. ROE



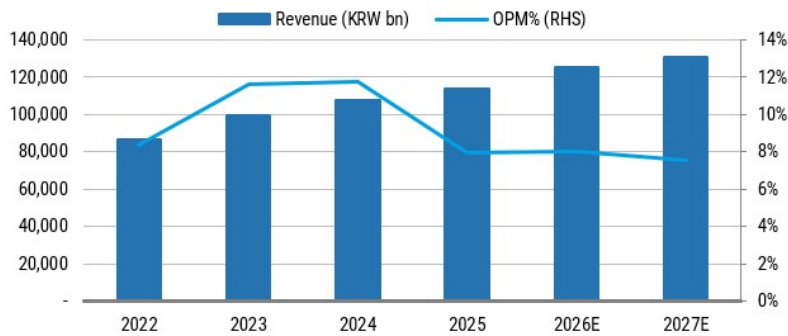
Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

Kia (000270.KS, OW, PT W180,000)

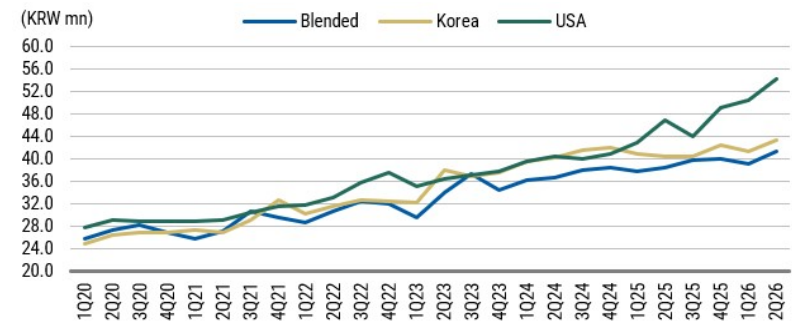
Production volumes by region



Revenue vs. OPM



ASP trends by region



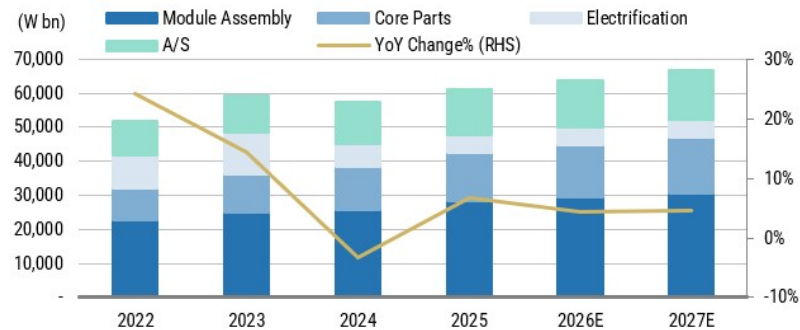
P/B vs. ROE



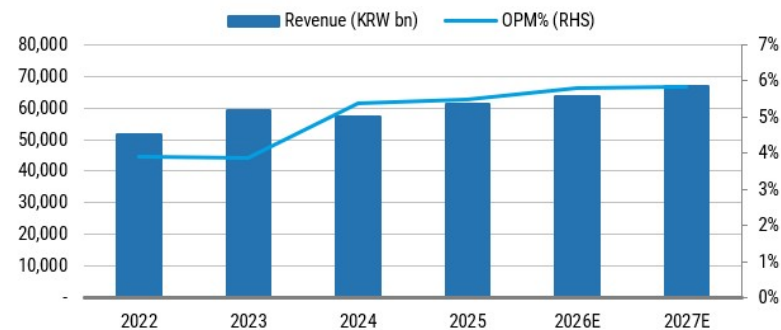
Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

Hyundai MOBIS (012330.KS, OW, PT W580,000)

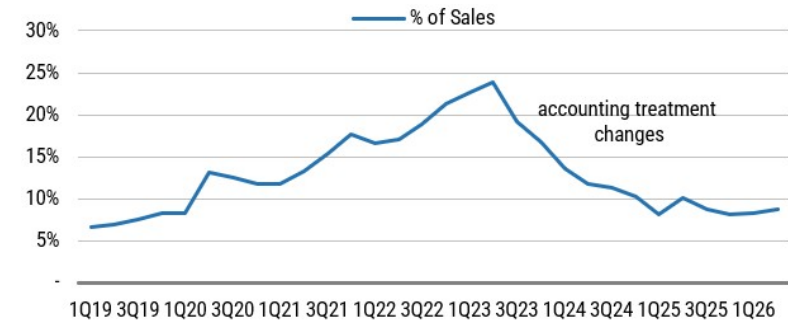
Revenue by business division



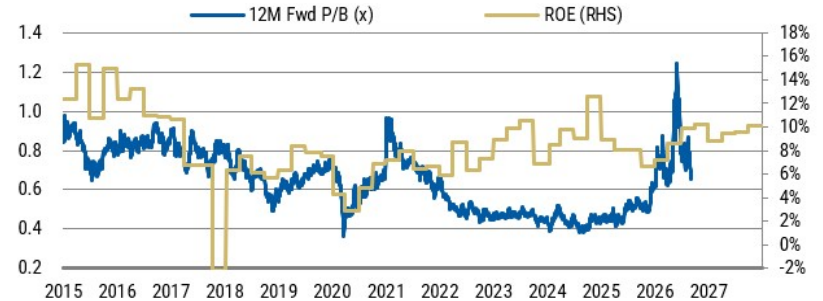
Revenue vs. OPM



Sales contribution from electrification



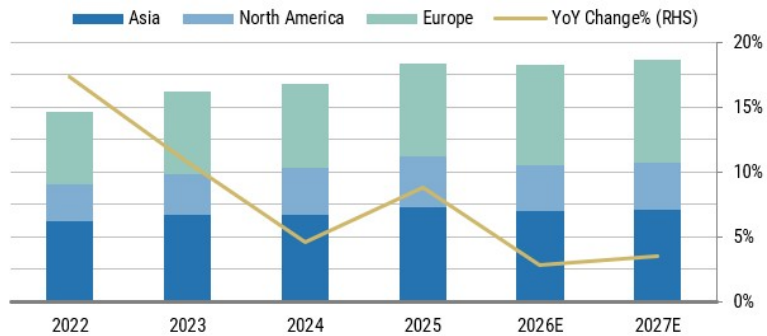
P/B vs. ROE



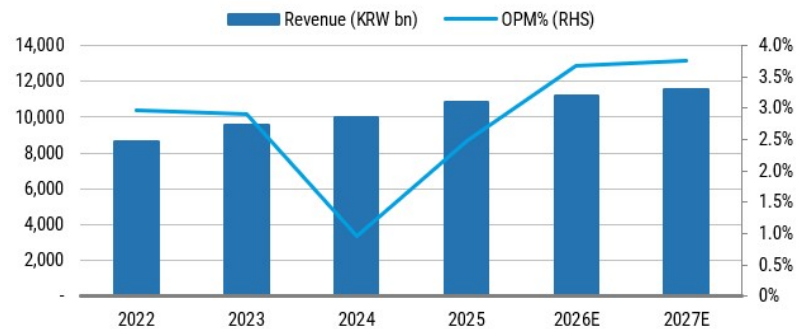
Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

Hanon Systems (018880.KS, UW, PT W3,000)

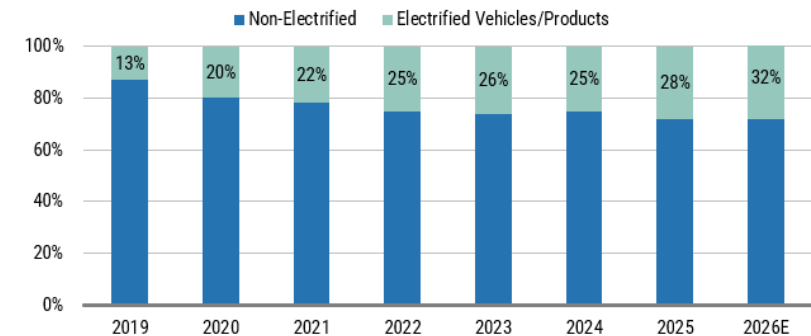
Revenue by region



Revenue vs. OPM



xEV sales mix



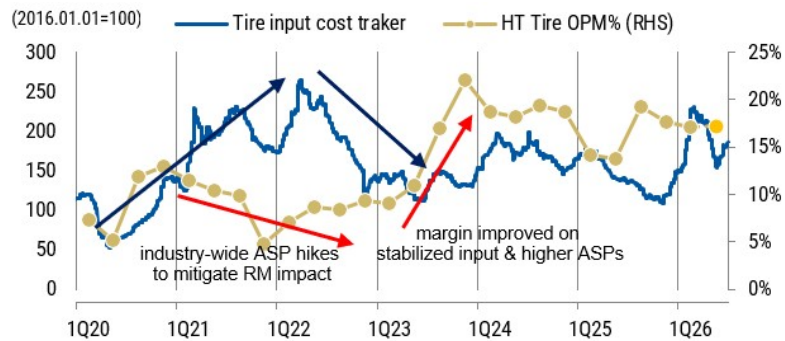
P/B vs. ROE



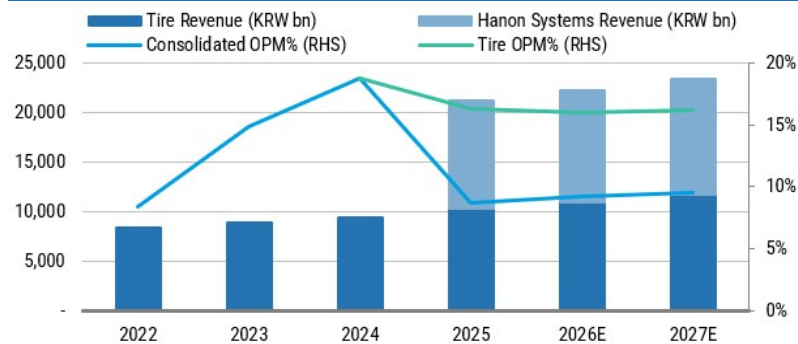
Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

Hankook Tire (161390.KS, OW, PT W93,000)

Quarterly tire OP margins vs. MS tire cost input tracker



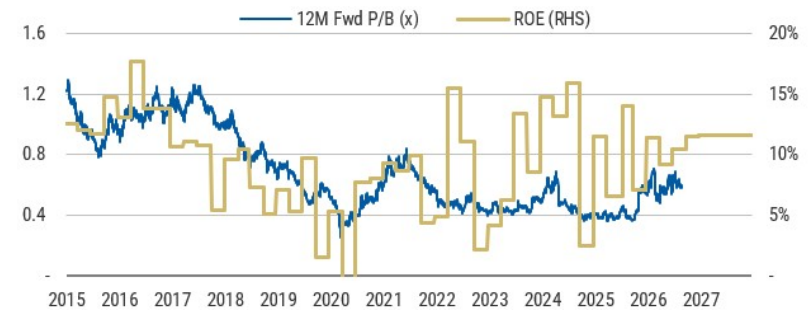
Revenue vs. OPM



Hankook Tire ASP hike announcements

Region	1Q22	2Q22	1Q23	1Q25	3Q25	1Q26	3Q26E
Korea	3-10%		3-4%	3%		2-3%	2-4%
Europe	4%	6-8%	2-3%	2-3%		2%	2-4%
US	6-8%	4%			7%		2-4%

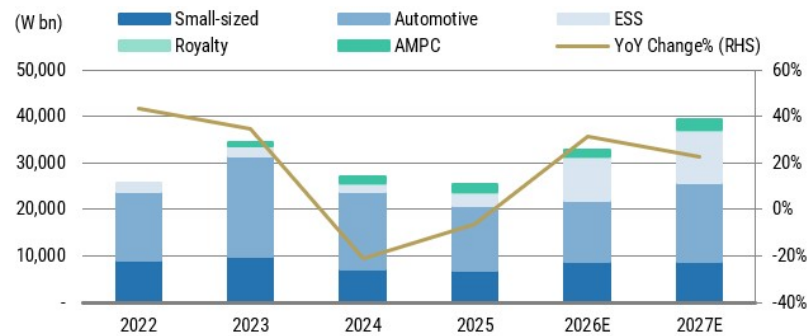
P/B vs. ROE



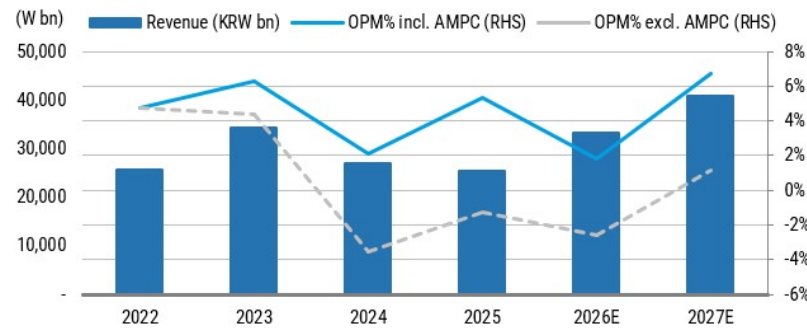
Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

LG Energy Solution (373220.KS, EW, PT W400,000)

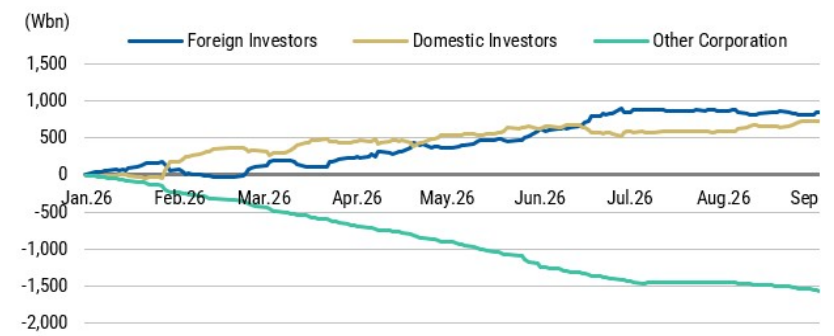
Revenue by business



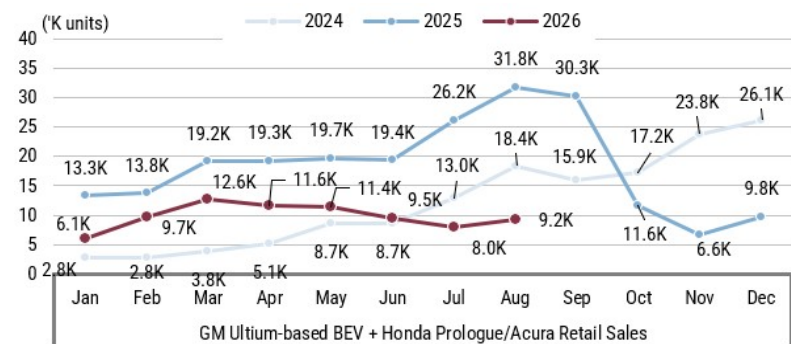
Revenue vs. OPM



LGES YTD fund flows by investor type



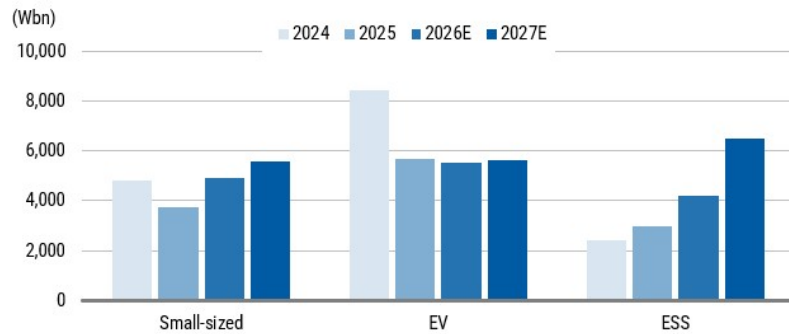
LGES Ultium tracker



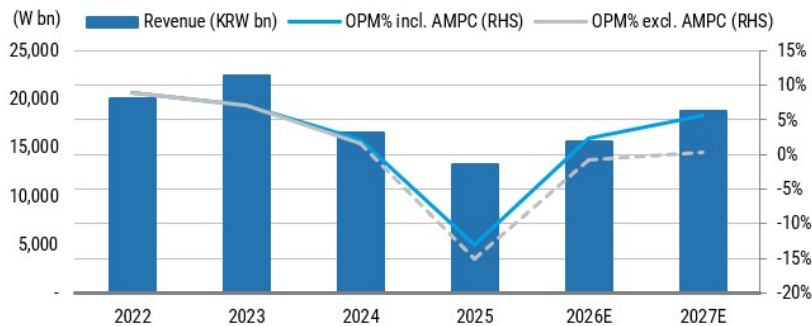
Source: Company data, Motor Intelligence, WiseFN, KRX, Morgan Stanley Research (E) estimates.

Samsung SDI (006400.KS, OW, PT W660,000)

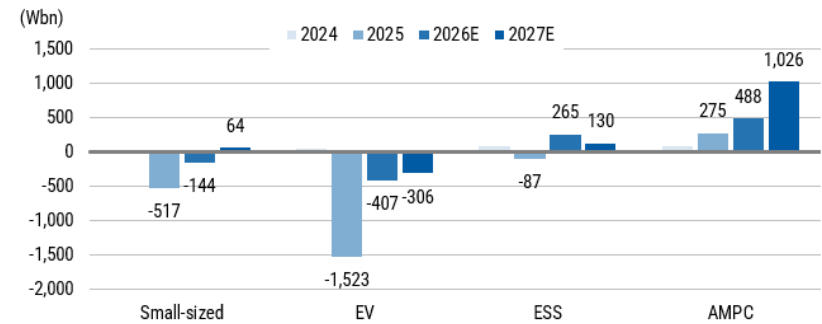
Batteries revenue breakdown



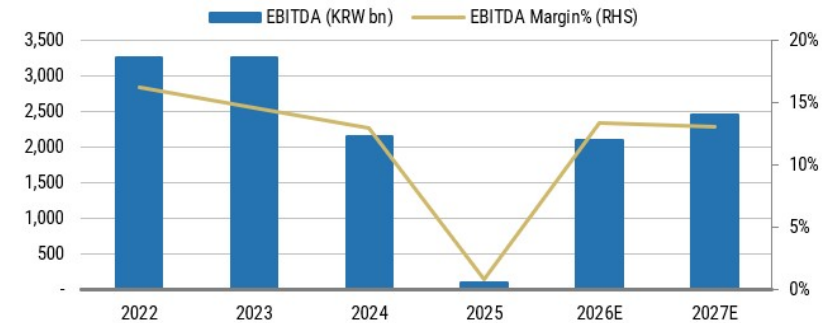
Revenue vs. OPM



Batteries operating profit breakdown



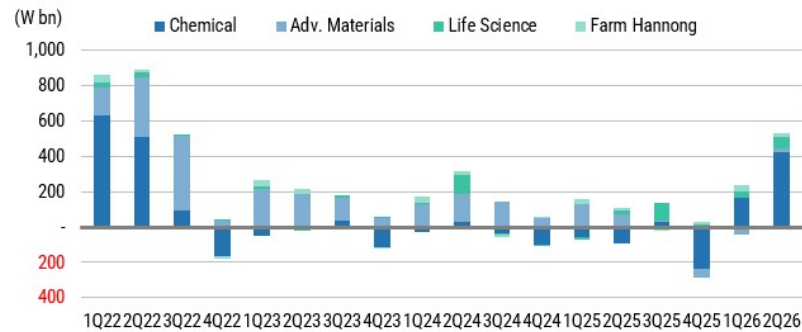
EBITDA vs. EBITDA margins



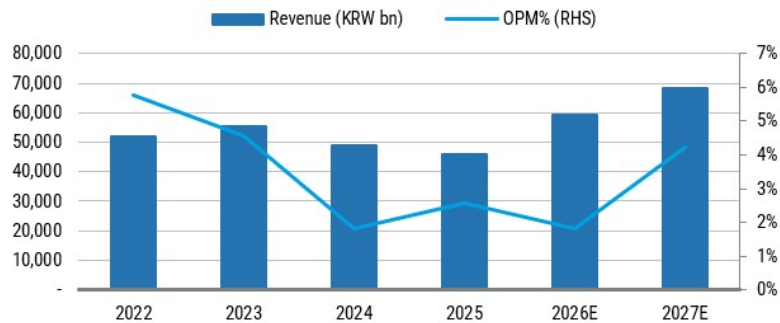
Source: Company data, Morgan Stanley Research (E) estimates.

LG Chem (051910.KS, EW, PT W300,000)

Quarterly OP trends by business (excl. LGES)



Revenue vs. OPM



Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

LG Chem holdco discount tracker

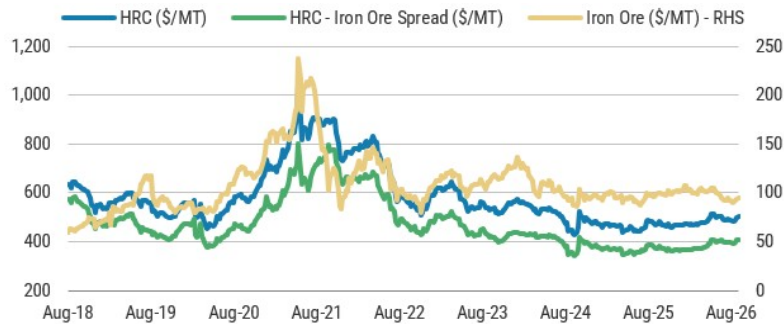


SOTP valuation

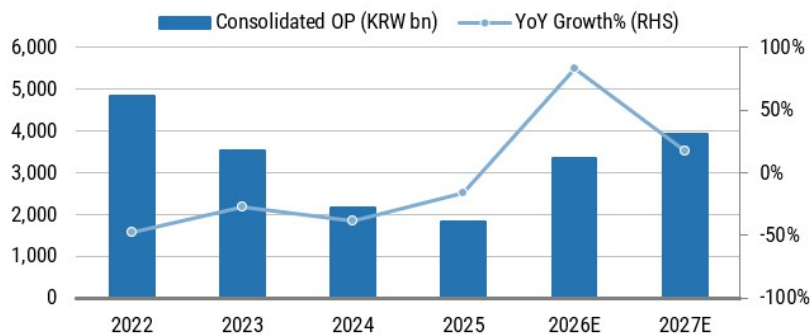
(KRW bn, unless otherwise stated)	LG Chem	Remarks
1. Chemical	5,744	Target EV/EBITDA of 4x to 2027E EBITDA
2. Advanced Materials	6,245	Target EV/EBITDA of 10x to 2027E EBITDA
3. Life Sciences	1,537	Target EV/EBITDA of 8x to 2027E EBITDA
4. Farm Hanning	551	Target EV/EBITDA of 6x to 2027E EBITDA
5. Total EV (1+2+3+4)	14,077	
6. Net Debt (LGC - LGES)	4,156	
7. Minority Interest (LGC - LGES)	4,124	
8. LGC Ops Equity Value (5-6-7)	5,798	
9. LGES Equity Value	14,888	75% holdco discount
10. Total Equity Value (8+9)	20,685	
9. # of shares (mn shares)	69	
Implied value per share (KRW)	300,000	

POSCO (005490.KS, EW, PT W370,000)

Steel spread trends



Consolidated OP vs. growth



Source: Company data, Bloomberg, Morgan Stanley Research (E) estimates.

Lithium price trends

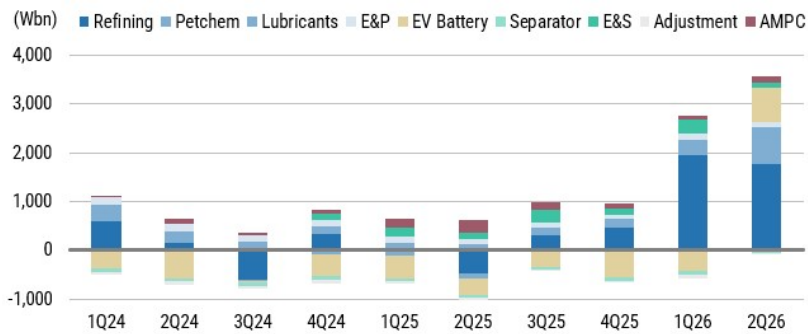


SOTP valuation

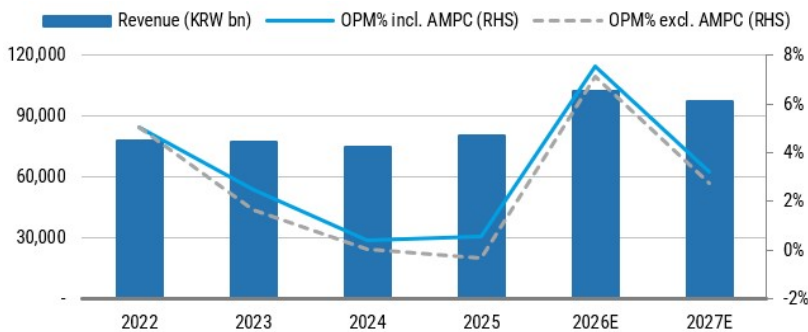
(KRW bn, unless otherwise stated)	POSCO	Remarks
1. POSCO Steel	17,125	Target 27E EV/EBITDA of 5.0x (Historical range of 4-7x)
2. POSCO Lithium	4,421	DCF-based valuation
3. POSCO Future M	2,867	60% holdco discount & 60% POSCO's stake
4. POSCO International	2,546	60% holdco discount & 71% POSCO's stake
5. POSCO SteelOn	57	60% holdco discount & 57% POSCO's stake
6. POSCO DX	785	60% holdco discount & 65% POSCO's stake
7. POSCO M-Tech	98	60% holdco discount & 49% POSCO's stake
8. Total equity value (1+2+3+4+5+6+7)	27,898	
9. # of shares (mn shares)	76	
Implied value per share (KRW)	370,000	

SK Innovation (096770.KS, OW, PT W150,000)

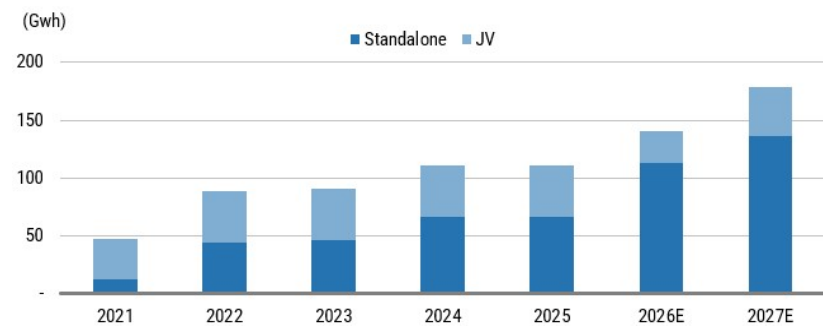
Quarterly OP trends by business



Revenue vs. OPM



Capacity rationalization through a series of JV terminations



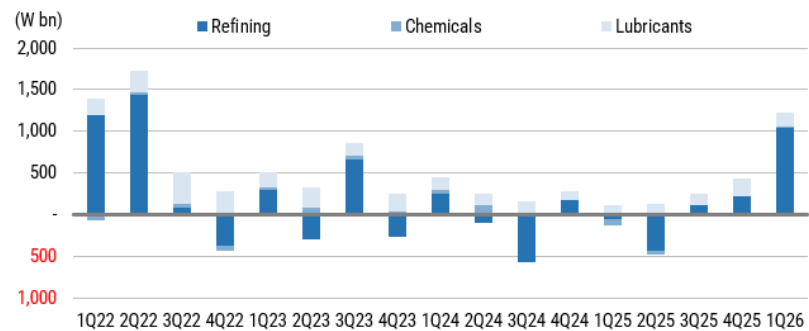
SOTP valuation

(KRW bn, unless otherwise stated)	SK Innovation	Remarks
1. Refining	14,948	Target EV/EBITDA 6x (Peers Range of S-Oil, PTTGC, etc.)
2. Petchem	1,660	Target EV/EBITDA 4x (Peers Range of KKPC, KPIC, etc.)
3. Lubricants	10,386	Target EV/EBITDA 8x (Peer Range of Shil, Neste, etc.)
4. E&P	2,902	Target EV/EBITDA 5x (Peers Range of BP, CNOOC, etc.)
5. EV Battery	3,666	Target EV/EBITDA 16x (Domestic peers average)
6. E&S	12,946	Target EV/EBITDA 8x (Peers Range of Tokyo Gas, KOGAS, etc.)
7. IE Technology	220	70% holdco discount to equity value at SKI's 61% stake
8. Investments	650	70% holdco discount to Book Value of JVs
9. Net debt (2Q26)	22,390	excl. SKIET
10. Total equity value (1+2+3+4+5+6+7+8-9)	24,986	
11. # of shares (mn shares)	169	
Implied value per share (KRW)	150,000	

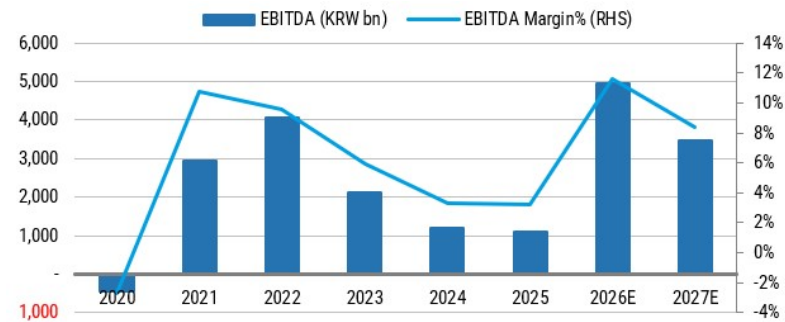
Source: Company data, WiseFN, Morgan Stanley Research (E) estimates.

S-Oil (010950.KS, OW, PT W190,000)

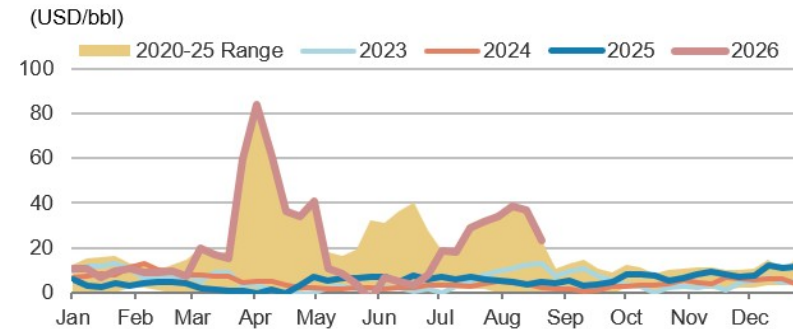
Quarterly OP trends by business



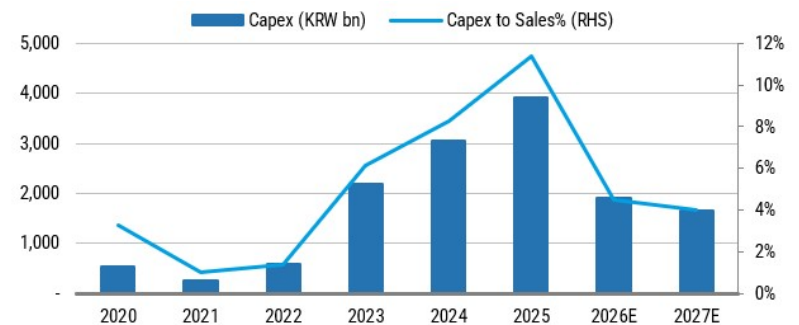
EBITDA vs. EBITDA margins



S-Oil's weighted GRM normalizing as geopolitical tensions ease



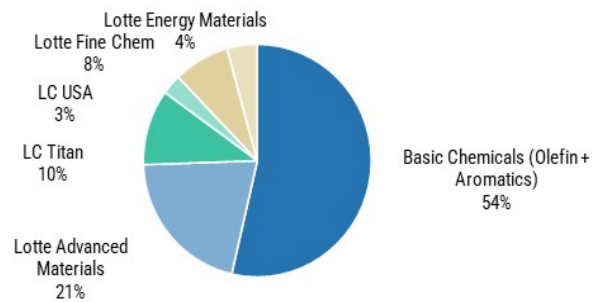
Capex burden to ease going forward



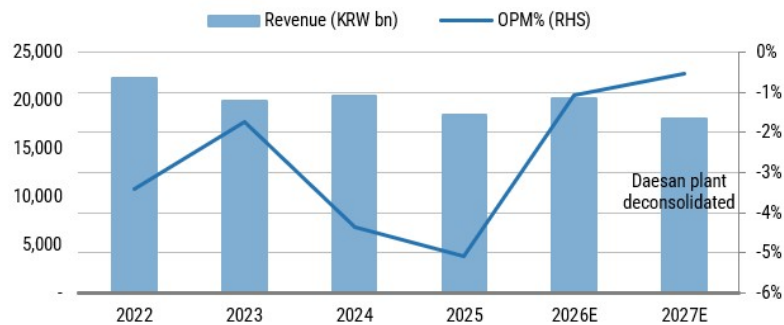
Source: Company data, Refinitiv, Morgan Stanley Research (E) estimates.

Lotte Chemical (011170.KS, UW, PT W53,000)

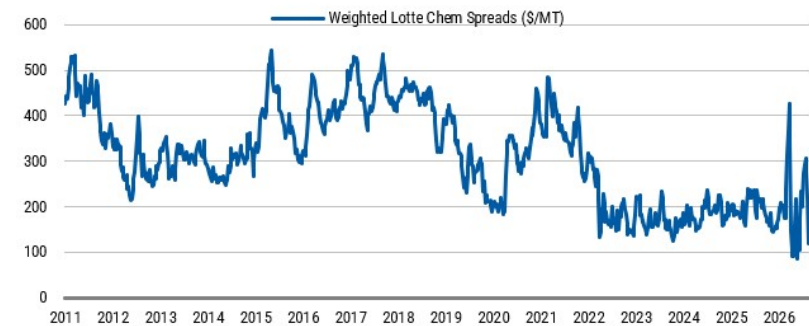
Revenue mix breakdown



Revenue vs. OPM



Lotte Chem's weighted spreads trends (1-month lag)



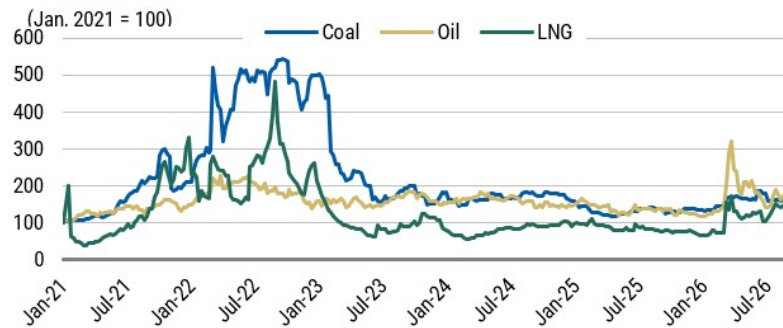
SOTP valuation

(KRW bn, unless otherwise stated)	Lotte Chem	Remarks
1. Chemical Business	1,866	
2027E Lotte Chem Equity	12,084	
Lotte Energy Materials Equity	1,716	
LC Equity - LEM Equity	10,369	
Target P/B	0.18	Historical range of 0.16-2.40x
2. Lotte Energy Materials	362	
Holdco Discount	60%	
LG Chme's stake%	53%	
3. Total equity value	2,229	
4. # of shares (mn shares)	42	
Implied value per share (KRW)	53,000	

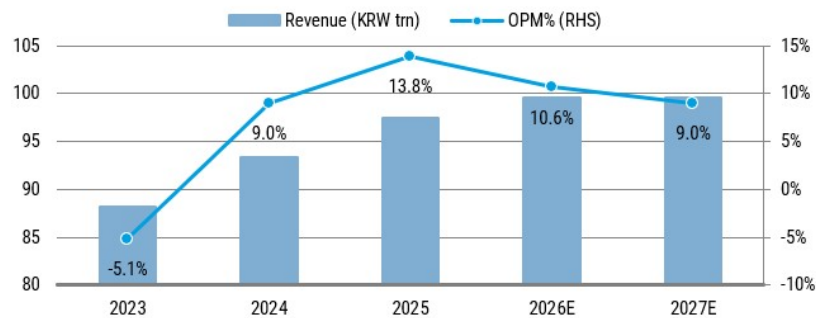
Source: Company data, Refinitiv, Morgan Stanley Research (E) estimates.

KEPCO (015760.KS, UW, PT W29,000)

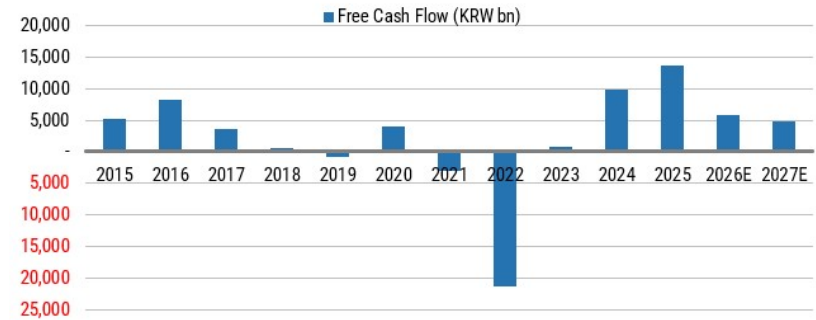
Raw material price trends



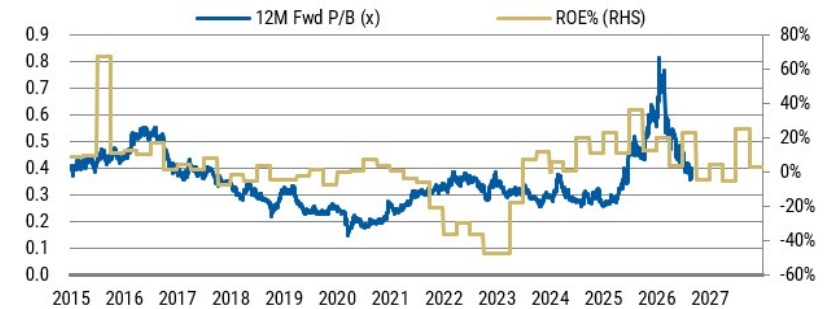
Revenue vs. OPM



Free cash flow outlook



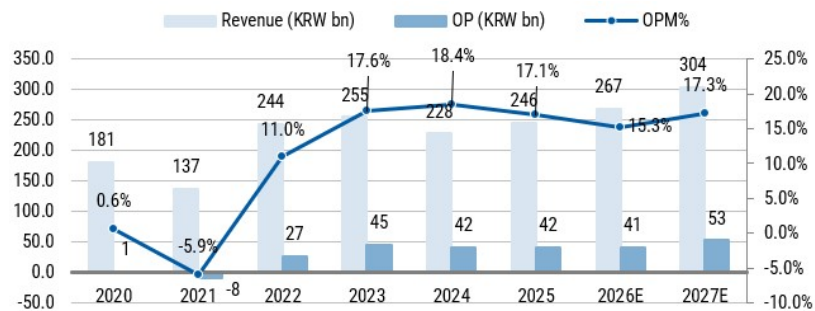
P/B vs. ROE



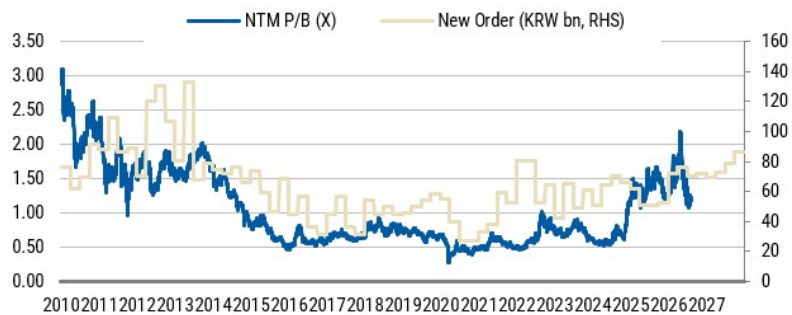
Source: Company data, Refinitiv, Morgan Stanley Research (E) estimates.

Sung Kwang Bend (014620.KQ, OW, PT W37,000)

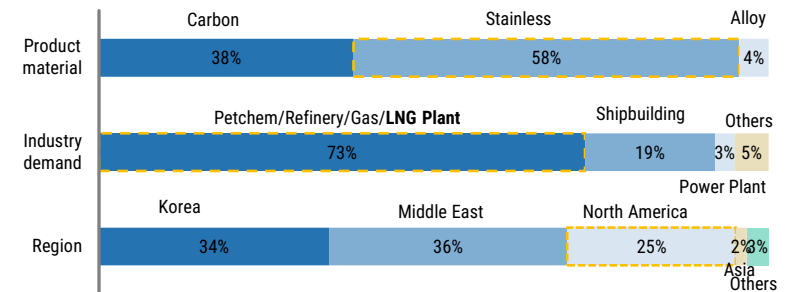
Revenue vs. OPM trends



NTM P/B vs. new orders



Revenue breakdown by segment (2025)



Share price performance vs. foreign ownership



Source: Company data, Morgan Stanley Research (E) estimates.

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

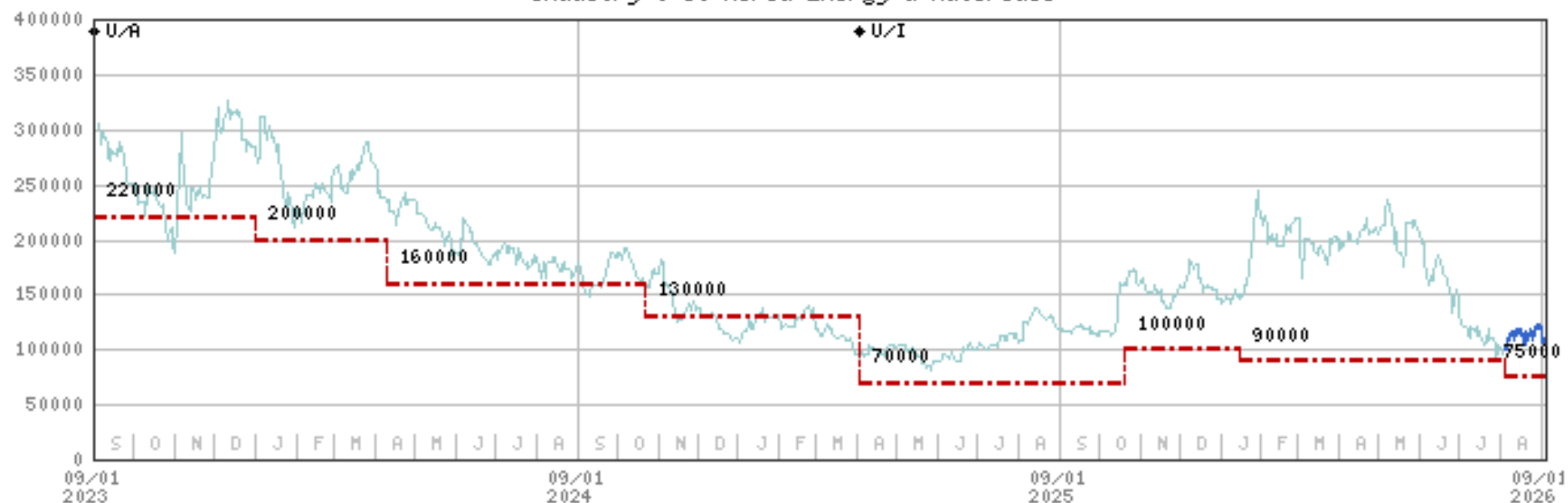
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Ecopro BM (247540.KQ) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : O/A; 1/12/23 : E/A; 3/20/23 : U/A; 4/3/25 : U/I

Price Target History: 8/3/21 : 90000; 10/20/21 : 150000; 2/11/22 : 135000; 5/3/22 : 162500; 8/3/22 : 170000; 1/12/23 : 120000; 3/20/23 : 130000; 5/2/23 : 160000; 8/3/23 : 220000; 1/2/24 : 200000; 4/10/24 : 160000; 10/22/24 : 130000; 4/3/25 : 70000; 10/21/25 : 100000; 1/16/26 : 90000; 8/4/26 : 75000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

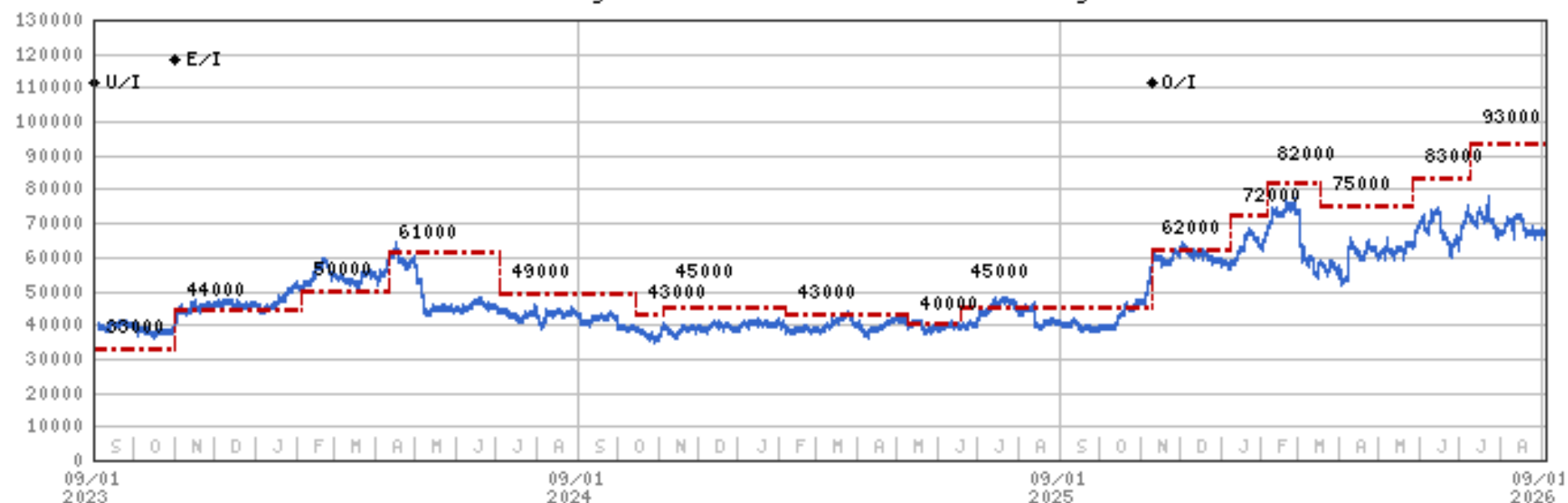
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Hankook Tire & Technology Co Ltd (161390.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Autos & Shared Mobility



Stock Rating History: 9/1/21 : O/I; 1/14/22 : E/I; 3/17/22 : U/I; 11/1/23 : E/I; 11/10/25 : O/I

Price Target History: 6/14/21 : 65000; 10/14/21 : 52000; 1/14/22 : 43000; 2/7/22 : 39000; 3/17/22 : 34000; 4/11/22 : 31000;
7/8/22 : 32000; 11/2/22 : 31000; 1/10/23 : 28000; 4/12/23 : 27000; 5/12/23 : 28000; 7/7/23 : 33000; 11/1/23 : 44000; 2/5/24 : 50000;
4/11/24 : 61000; 7/5/24 : 49000; 10/15/24 : 43000; 11/6/24 : 45000; 2/6/25 : 43000; 5/9/25 : 40000; 6/18/25 : 45000;
11/10/25 : 62000; 1/9/26 : 72000; 2/5/26 : 82000; 3/18/26 : 75000; 5/27/26 : 83000; 7/9/26 : 93000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

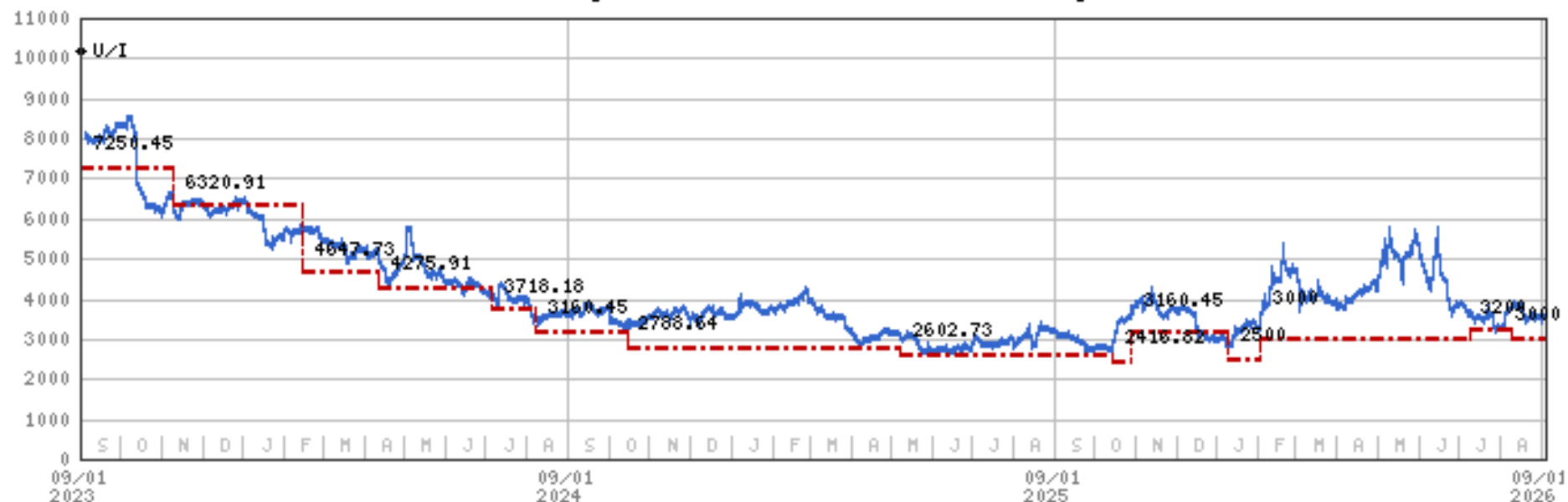
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Hanon Systems (018880.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Autos & Shared Mobility



Stock Rating History: 9/1/21 : U/I; 10/14/21 : E/I; 1/14/22 : U/I

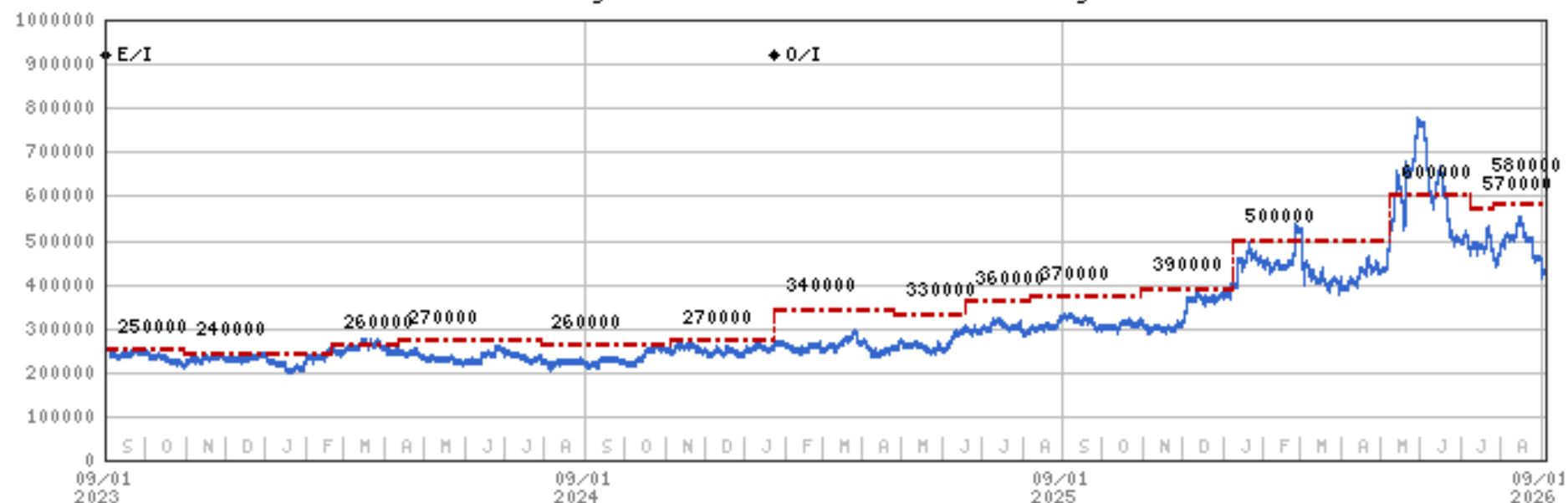
Price Target History: 7/7/21 : 13013.63; 10/14/21 : 13943.17; 1/14/22 : 11154.54; 2/10/22 : 9760.22; 3/17/22 : 9295.45;
5/11/22 : 8365.91; 7/6/22 : 7436.36; 11/9/22 : 6506.81; 7/7/23 : 7250.45; 11/10/23 : 6320.91; 2/14/24 : 4647.73; 4/11/24 : 4275.91;
7/5/24 : 3718.18; 8/8/24 : 3160.45; 10/15/24 : 2788.64; 5/8/25 : 2602.73; 10/14/25 : 2416.82; 10/29/25 : 3160.45; 1/9/26 : 2500;
2/3/26 : 3000; 7/9/26 : 3200; 8/10/26 : 3000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

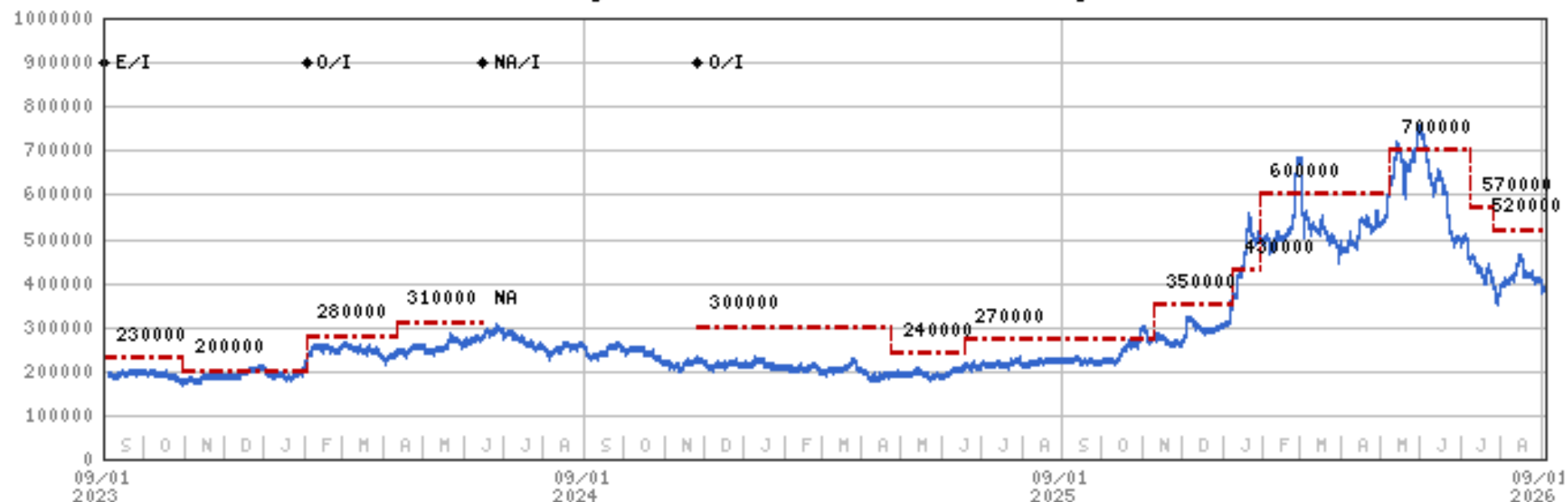
Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Hyundai MOBIS (012330.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Autos & Shared Mobility



Hyundai Motor (005380.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Autos & Shared Mobility



Stock Rating History: 9/1/21 : E/I; 2/2/24 : O/I; 6/16/24 : NA/I; 11/27/24 : O/I

Price Target History: 7/7/21 : 260000; 9/7/21 : 240000; 1/25/22 : 220000; 3/17/22 : 190000; 4/11/22 : 200000; 4/26/22 : 210000; 7/8/22 : 200000; 7/22/22 : 210000; 9/15/22 : 220000; 10/24/22 : 180000; 1/10/23 : 170000; 1/26/23 : 180000; 4/12/23 : 220000; 4/26/23 : 230000; 10/31/23 : 200000; 2/2/24 : 280000; 4/11/24 : 310000; 6/16/24 : NA; 11/27/24 : 300000; 4/24/25 : 240000; 6/18/25 : 270000; 11/10/25 : 350000; 1/9/26 : 430000; 1/29/26 : 600000; 5/8/26 : 700000; 7/9/26 : 570000; 7/27/26 : 520000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target —

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Kia Corp. (000270.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Autos & Shared Mobility



Stock Rating History: 9/1/21 : E/I; 4/26/22 : O/I

Price Target History: 6/18/21 : 100000; 9/7/21 : 95000; 10/28/21 : 100000; 1/14/22 : 95000; 1/26/22 : 90000; 3/17/22 : 80000;
4/11/22 : 85000; 4/26/22 : 100000; 7/8/22 : 90000; 7/22/22 : 100000; 10/25/22 : 80000; 1/10/23 : 70000; 1/30/23 : 80000;
4/12/23 : 100000; 4/26/23 : 105000; 11/2/23 : 98000; 2/2/24 : 140000; 4/26/24 : 170000; 7/26/24 : 150000; 10/15/24 : 125000;
4/28/25 : 110000; 6/18/25 : 130000; 11/10/25 : 145000; 1/9/26 : 165000; 1/29/26 : 200000; 5/8/26 : 210000; 7/9/26 : 200000;
7/27/26 : 180000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Korea Electric Power (015760.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : E/A; 11/5/21 : O/A; 8/12/22 : E/A; 2/26/24 : O/A; 3/1/25 : E/A; 4/3/25 : E/I; 5/19/26 : U/I

Price Target History: 5/14/21 : 25000; 11/5/21 : 33000; 11/12/21 : 32000; 5/13/22 : 29000; 8/12/22 : 22000; 11/14/22 : 20000;
5/15/23 : 22000; 8/11/23 : 21000; 11/13/23 : 19000; 2/26/24 : 32000; 5/13/24 : 26000; 11/13/24 : 28000; 3/1/25 : 23000;
5/13/25 : 27000; 8/12/25 : 44000; 11/13/25 : 50000; 5/19/26 : 29000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

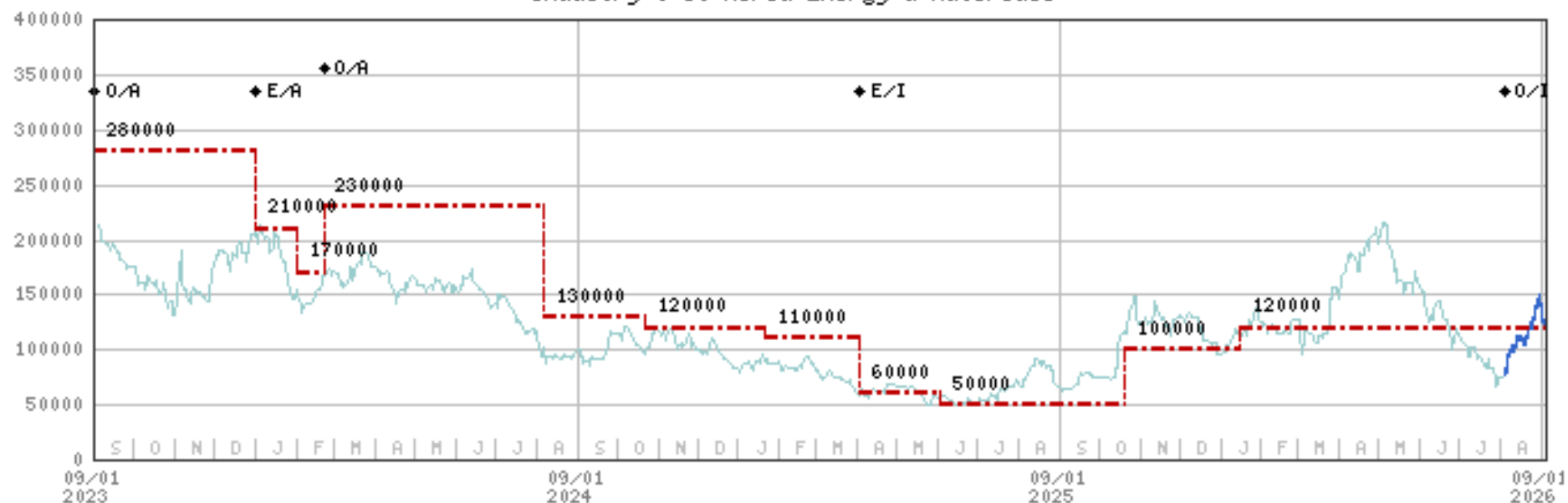
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

L&F Co Ltd (066970.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : O/A; 1/2/24 : E/A; 2/22/24 : O/A; 4/3/25 : E/I; 8/4/26 : O/I

Price Target History: 8/17/21 : 170000; 10/20/21 : 280000; 11/24/21 : 310000; 5/16/22 : 390000; 8/17/22 : 400000; 1/12/23 : 320000; 7/5/23 : 280000; 1/2/24 : 210000; 2/2/24 : 170000; 2/22/24 : 230000; 8/7/24 : 130000; 10/22/24 : 120000; 1/21/25 : 110000; 4/3/25 : 60000; 6/3/25 : 50000; 10/21/25 : 100000; 1/16/26 : 120000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

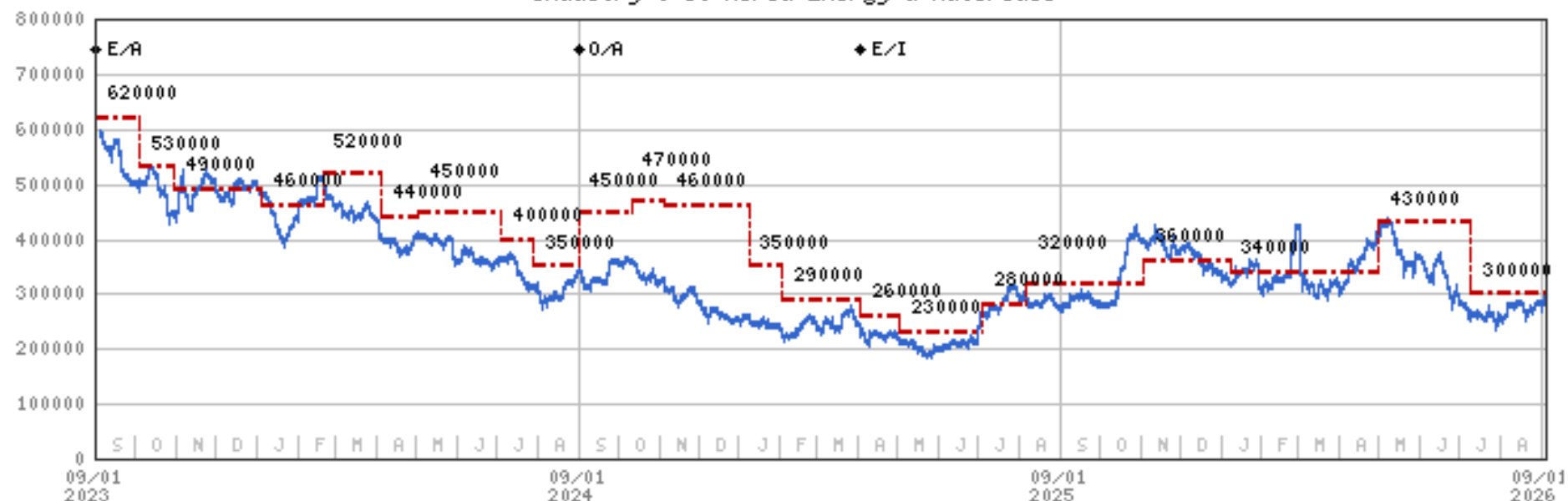
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

LG Chem (051910.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : NA/A; 3/10/22 : O/A; 2/1/23 : E/A; 9/1/24 : O/A; 4/3/25 : E/I

Price Target History: 6/8/21 : NA; 3/10/22 : 720000; 4/4/22 : 810000; 4/27/22 : 720000; 7/6/22 : 660000; 7/27/22 : 730000; 8/9/22 : 790000; 11/24/22 : 900000; 1/3/23 : 770000; 2/1/23 : 750000; 3/29/23 : 780000; 4/27/23 : 810000; 6/13/23 : 800000; 7/6/23 : 770000; 8/25/23 : 620000; 10/4/23 : 530000; 10/30/23 : 490000; 1/5/24 : 460000; 2/20/24 : 520000; 4/5/24 : 440000; 5/3/24 : 450000; 7/4/24 : 400000; 7/29/24 : 350000; 9/1/24 : 450000; 10/11/24 : 470000; 11/6/24 : 460000; 1/8/25 : 350000; 2/3/25 : 290000; 4/3/25 : 260000; 5/2/25 : 230000; 7/4/25 : 280000; 8/7/25 : 320000; 11/4/25 : 360000; 1/8/26 : 340000; 5/1/26 : 430000; 7/10/26 : 300000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

LG Energy Solution (373220.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 3/10/22 : E/A; 9/1/24 : O/A; 4/3/25 : E/I

Price Target History: 3/10/22 : 360000; 4/4/22 : 400000; 4/27/22 : 440000; 6/16/22 : 410000; 9/2/22 : 530000; 10/26/22 : 570000; 1/3/23 : 480000; 1/30/23 : 490000; 3/10/23 : 610000; 4/26/23 : 630000; 8/25/23 : 570000; 10/4/23 : 500000; 10/25/23 : 440000; 1/5/24 : 380000; 1/29/24 : 350000; 4/5/24 : 360000; 7/4/24 : 350000; 7/29/24 : 330000; 9/1/24 : 550000; 11/6/24 : 540000; 1/8/25 : 520000; 1/25/25 : 480000; 4/3/25 : 370000; 4/30/25 : 360000; 7/4/25 : 330000; 8/6/25 : 420000; 11/3/25 : 450000; 1/8/26 : 380000; 5/1/26 : 500000; 6/30/26 : 420000; 7/30/26 : 380000; 8/24/26 : 400000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

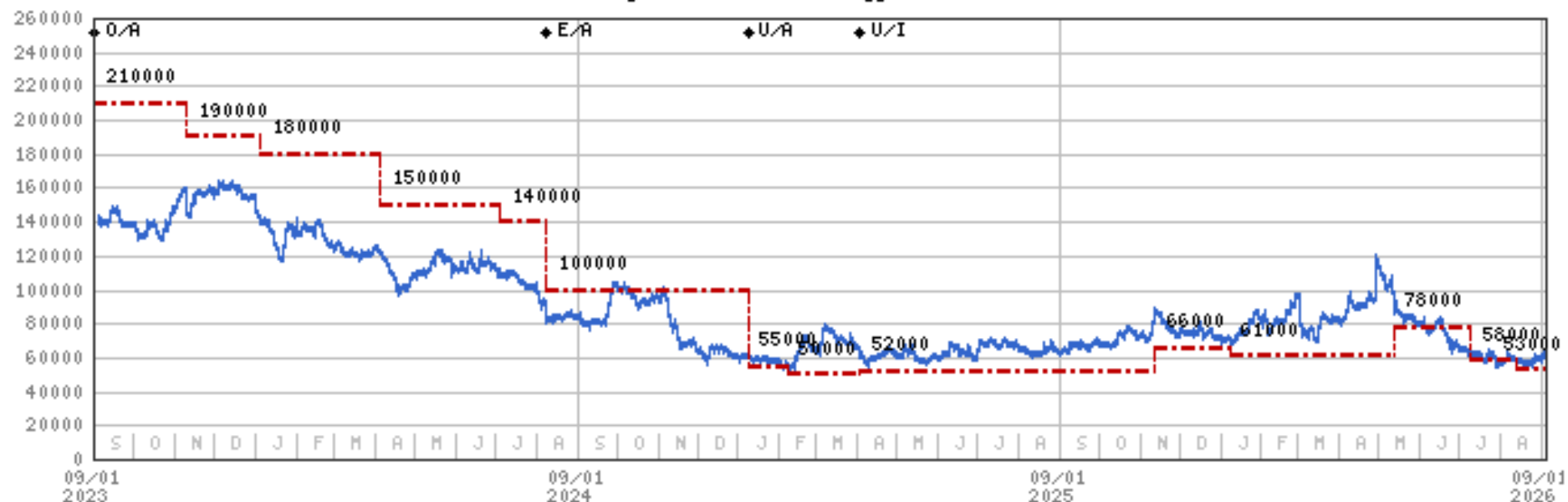
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Lotte Chemical Corp (011170.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : E/A; 10/10/22 : NA/A; 7/6/23 : O/A; 8/8/24 : E/A; 1/8/25 : U/A; 4/3/25 : U/I

Price Target History: 7/8/21 : 276227.03; 10/6/21 : 257176.89; 1/11/22 : 247651.83; 2/9/22 : 228601.69; 4/4/22 : 219076.61; 7/6/22 : 190501.41; 10/10/22 : NA; 7/6/23 : 210000; 11/10/23 : 190000; 1/5/24 : 180000; 4/5/24 : 150000; 7/4/24 : 140000; 8/8/24 : 100000; 1/8/25 : 55000; 2/7/25 : 50000; 4/3/25 : 52000; 11/13/25 : 66000; 1/8/26 : 61000; 5/12/26 : 78000; 7/10/26 : 58000; 8/13/26 : 53000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Mando (204320.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Autos & Shared Mobility



Stock Rating History: 9/1/21 : E/I; 10/14/21 : O/I; 3/17/22 : E/I; 8/1/22 : O/I; 2/5/24 : E/I

Price Target History: 7/7/21 : 70000; 10/14/21 : 82000; 1/14/22 : 80000; 2/9/22 : 70000; 3/17/22 : 48000; 4/11/22 : 54000;
4/29/22 : 60000; 7/8/22 : 52000; 8/1/22 : 74000; 10/28/22 : 70000; 1/10/23 : 60000; 4/12/23 : 56000; 7/7/23 : 62000; 7/27/23 : 63000;
11/2/23 : 54000; 2/5/24 : 41000; 4/11/24 : 36000; 7/5/24 : 43000; 7/29/24 : 44000; 10/15/24 : 42000; 11/6/24 : 41000;
4/17/25 : 40000; 6/18/25 : 38000; 8/6/25 : 39000; 11/10/25 : 41000; 1/9/26 : 65000; 2/6/26 : 61000; 7/9/26 : 55000; 8/10/26 : 59000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

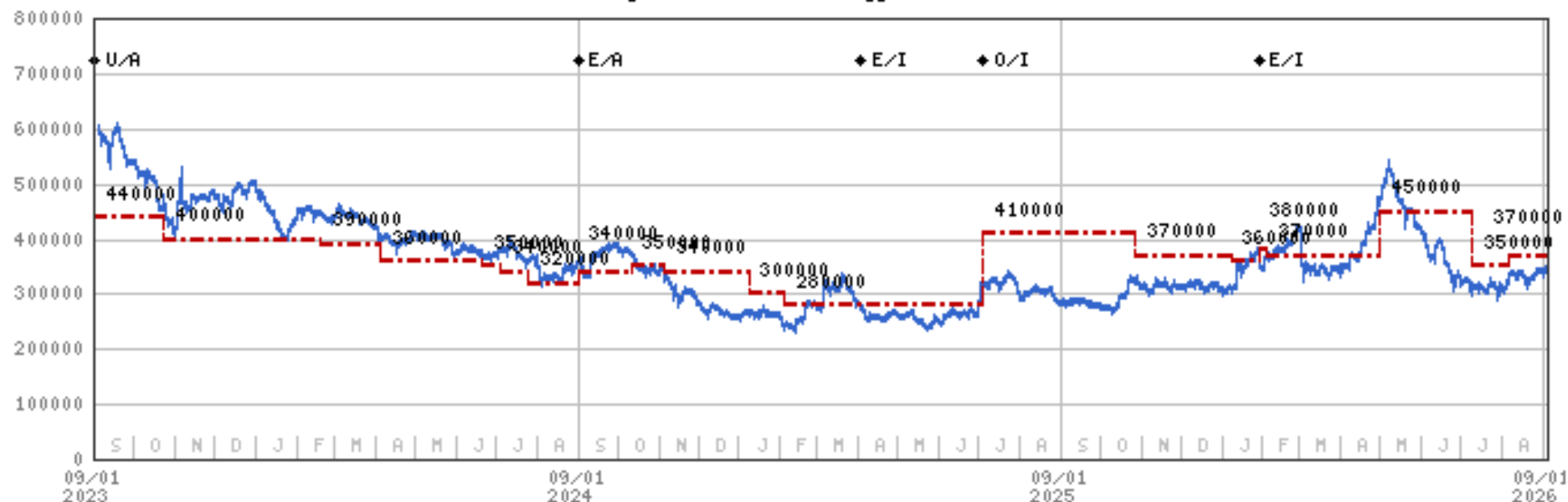
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

POSCO (005490.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : O/A; 4/3/23 : E/A; 8/1/23 : U/A; 9/1/24 : E/A; 4/3/25 : E/I; 7/4/25 : O/I; 1/29/26 : E/I

Price Target History: 7/22/21 : 470000; 9/8/21 : 520000; 10/25/21 : 420000; 1/7/22 : 410000; 4/4/22 : 390000; 7/6/22 : 290000; 12/12/22 : 370000; 1/30/23 : 380000; 4/3/23 : 390000; 4/28/23 : 400000; 8/1/23 : 440000; 10/24/23 : 400000; 2/19/24 : 390000; 4/5/24 : 360000; 6/20/24 : 350000; 7/4/24 : 340000; 7/26/24 : 320000; 9/1/24 : 340000; 10/11/24 : 350000; 11/6/24 : 340000; 1/8/25 : 300000; 2/4/25 : 280000; 7/4/25 : 410000; 10/28/25 : 370000; 1/8/26 : 360000; 1/29/26 : 380000; 2/4/26 : 370000; 5/1/26 : 450000; 7/10/26 : 350000; 8/6/26 : 370000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

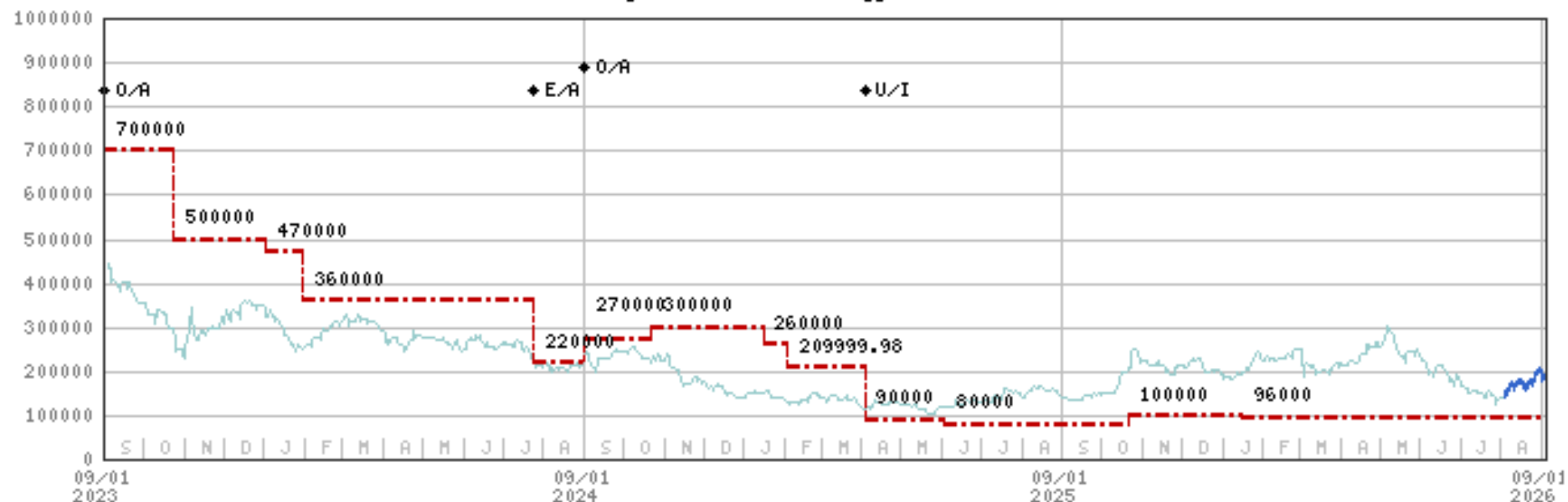
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

POSCO FUTURE M (003670.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : U/A; 8/10/22 : O/A; 1/12/23 : E/A; 6/12/23 : O/A; 7/25/24 : E/A; 9/1/24 : O/A; 4/3/25 : U/I

Price Target History: 4/27/21 : 120000; 10/20/21 : 125000; 1/26/22 : 100000; 4/25/22 : 108000; 6/15/22 : 104000; 8/10/22 : 200000; 10/24/22 : 240000; 1/12/23 : 200000; 4/27/23 : 290000; 6/12/23 : 500000; 7/25/23 : 700000; 10/24/23 : 500000; 1/2/24 : 470000; 1/31/24 : 360000; 7/25/24 : 220000; 9/1/24 : 270000; 10/22/24 : 300000; 1/16/25 : 260000; 2/3/25 : 209999.98; 4/3/25 : 90000; 6/3/25 : 80000; 10/21/25 : 100000; 1/16/26 : 96000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

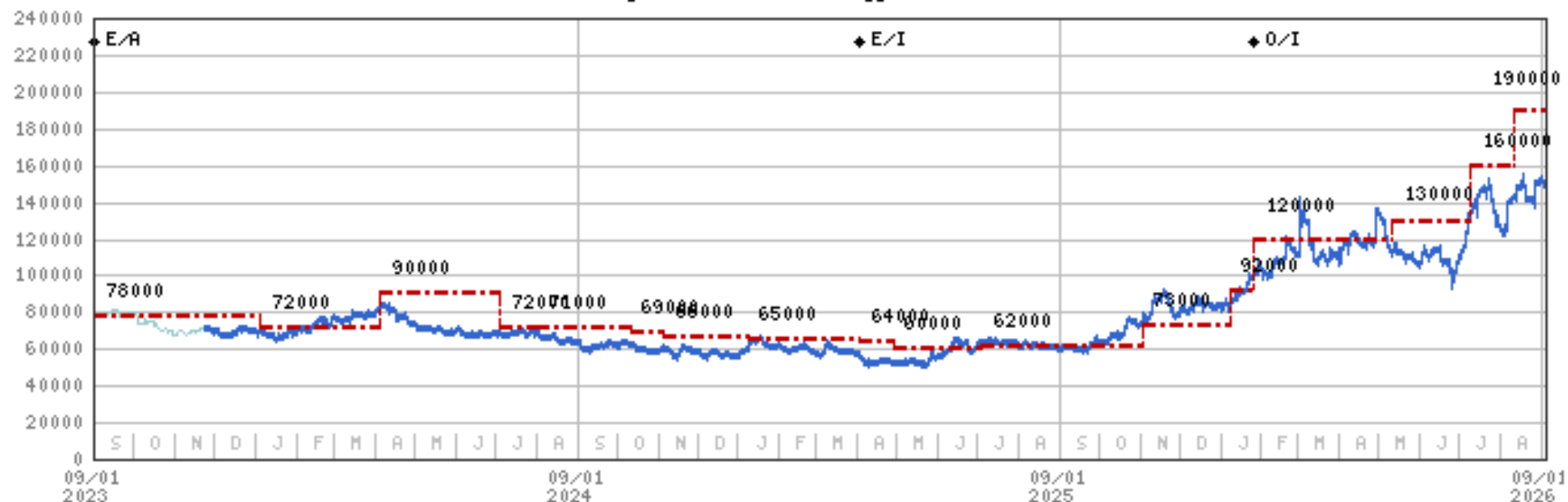
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

S-Oil (010950.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : O/A; 4/6/23 : E/A; 4/3/25 : E/I; 1/26/26 : O/I

Price Target History: 6/24/21 : 130000; 10/6/21 : 140000; 12/10/21 : 130000; 1/27/22 : 120000; 4/4/22 : 130000; 5/19/22 : 140000; 7/6/22 : 130000; 10/27/22 : 120000; 1/3/23 : 110000; 4/6/23 : 94000; 7/6/23 : 74000; 8/8/23 : 78000; 1/5/24 : 72000; 4/5/24 : 90000; 7/4/24 : 72000; 8/1/24 : 71000; 10/11/24 : 69000; 11/6/24 : 66000; 1/8/25 : 65000; 4/3/25 : 64000; 4/28/25 : 60000; 7/4/25 : 62000; 11/3/25 : 73000; 1/8/26 : 92000; 1/26/26 : 120000; 5/11/26 : 130000; 7/10/26 : 160000; 8/11/26 : 190000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

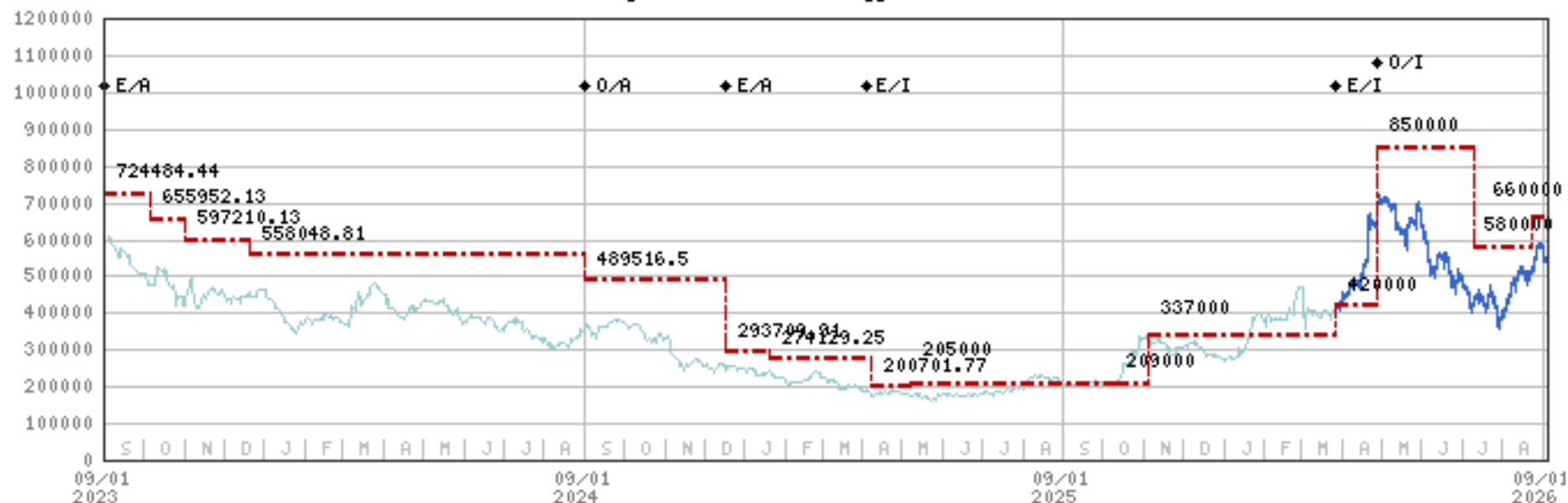
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Samsung SDI (006400.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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SK Innovation Co Ltd (096770.KS) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 9/1/21 : O/A; 11/29/21 : E/A; 3/10/23 : O/A; 2/7/24 : E/A; 4/3/25 : U/I; 5/19/26 : E/I; 7/31/26 : O/I

Price Target History: 8/5/21 : 305025.13; 9/30/21 : 334543.69; 11/29/21 : 226308.95; 4/4/22 : 236148.48; 7/6/22 : 196790.39; 8/24/22 : 226308.95; 11/3/22 : 196790.39; 1/3/23 : 157432.31; 2/7/23 : 177111.36; 3/10/23 : 236148.48; 4/6/23 : 226308.95; 7/6/23 : 206629.92; 8/25/23 : 220000; 10/4/23 : 200000; 11/3/23 : 180000; 1/5/24 : 160000; 2/7/24 : 130000; 7/4/24 : 110000; 8/1/24 : 100000; 9/1/24 : 120000; 4/3/25 : 96000; 7/4/25 : 100000; 8/6/25 : 88000; 10/31/25 : 100000; 1/8/26 : 90000; 5/19/26 : 130000; 7/10/26 : 110000; 7/31/26 : 150000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Sung Kwang Bend Co Ltd (014620.KQ) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 3/4/25 : 0/A; 4/3/25 : 0/I

Price Target History: 3/4/25 : 37000; 4/3/25 : 36000; 7/1/25 : 37000; 9/9/25 : 49000; 3/23/26 : 46000; 4/23/26 : 50000; 8/10/26 : 37000

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

TK Corp (023160.KQ) - As of 09/04/26 GMT in KRW
Industry : S. Korea Energy & Materials



Stock Rating History: 3/4/25 : O/A; 4/3/25 : O/I; 4/23/26 : E/I
Price Target History: 3/4/25 : 32000; 5/12/25 : 28500; 7/1/25 : 28000; 9/9/25 : 41000; 3/11/26 : 40000; 4/23/26 : 48000;
8/11/26 : 26000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)
Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.
Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: S. Korea Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/03/2026)
Young Suk Shin Hankook Tire & Technology Co Ltd (161390.KS)	O (11/10/2025)	W66,500

Hanon Systems (018880.KS)	U (01/14/2022)	W3,495
Hyundai MOBIS (012330.KS)	O (01/24/2025)	W423,500
Hyundai Motor (005380.KS)	O (11/27/2024)	W383,500
Kia Corp. (000270.KS)	O (04/26/2022)	W127,400
Mando (204320.KS)	E (02/05/2024)	W47,650

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: S. Korea Energy & Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/03/2026)
Chan Park		
Ecopro BM (247540.KQ)	U (03/20/2023)	W106,500
L&F Co Ltd (066970.KS)	O (08/04/2026)	W120,900
POSCO FUTURE M (003670.KS)	U (04/03/2025)	W183,800
Young Suk Shin		
Korea Electric Power (015760.KS)	U (05/19/2026)	W32,450
LG Chem (051910.KS)	E (04/03/2025)	W287,000
LG Energy Solution (373220.KS)	E (04/03/2025)	W365,500
Lotte Chemical Corp (011170.KS)	U (01/08/2025)	W61,000
POSCO (005490.KS)	E (01/29/2026)	W342,000
Samsung SDI (006400.KS)	O (04/28/2026)	W539,000
SK Innovation Co Ltd (096770.KS)	O (07/31/2026)	W130,800
S-Oil (010950.KS)	O (01/26/2026)	W147,900
Sung Kwang Bend Co Ltd (014620.KQ)	O (03/04/2025)	W30,400
TK Corp (023160.KQ)	E (04/23/2026)	W25,800

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.